

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA, INC.'S
PROPOSED FINDINGS OF FACT**

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Pursuant to 46 C.F.R. § 502.214, Complainant Samsung Electronics America, Inc. (“SEA”) submits the following Proposed Findings of Fact (“PFF”) in support of its Initial Brief:¹

I. INTRODUCTION

1. On April 19, 2023, pursuant to 46 U.S.C. § 41301, SEA filed its Verified Complaint (“Complaint”) against Respondent SM Line Corporation (“SM Line”) (collectively, the “Parties”), and was assigned Federal Maritime Commission (“FMC”) Docket No. 23-01. CX_000002, Compl. ¶ 4.

2. SM Line publicly represents “offering of a full range of services from arrangements overseas to the final destination at SEA distribution centers and customers inland, otherwise known as inland transportation or ‘store door’ delivery.” CX_000003, Compl. ¶ 11.

3. Regarding its inland transportation services, SM Line states on its website that “SM Line focuses on establishing a comprehensive logistics transportation network worldwide to create value-added logistics services.” Further, “[w]ith the need to deliver value-added logistics services, SM LINE operates a comprehensive network of logistics and intermodal services around the globe.” CX_000003-04, Compl. ¶ 13; *accord* CX_000021, Answer ¶ 13 (admitted).

4. SM Line markets its ability to arrange and coordinate multiple inland transportation providers as part of its store door services, stating: “[e]ach shipment is tracked and monitored by our branch office in Phoenix, Arizona. Also, transportation to inland is based on usage of modernized rail terminals run by top-class rail companies. Particularly, UP-Global IV, the most advanced rail terminal handles cargoes with first-rate service by integrating rail and truck

¹Citations to information in the record are contained in the Appendix (“App.”). The PFF is submitted today per the March 8, 2024 Memorandum Order Extending Schedule (Dkt. No. 75), making SEA’s “brief, proposed findings of fact, and appendix” due April 15, 2024.

transportation, distribution and warehousing in one place.” CX_000004, Compl. ¶ 14; *accord* CX_000021, Answer ¶ 14 (admitted).

5. SEA is the consignee of cargoes of home goods shipped to the U.S. in ocean shipping containers by SM Line. CX_000007, Compl. ¶ 27.

6. SM Line transported SEA containers under through bills of lading, or sea waybills, from the overseas locations through U.S. ports and on to designated U.S. inland locations (commonly known as “store door” terms). CX_000007, Compl. ¶ 28; CX_000022, Answer ¶ 28 (admitted except as to parenthetical); *see, e.g.*, CX_005440, Expert Report of Gregory E. Smith dated Feb. 21, 2024 (“Smith Report”), Ex. 4.2 (representative SM Line sea waybill designating the U.S. “PORT OF DISCHARGE” as Long Beach, CA and the inland “PLACE OF DELIVERY (BY ON CARRIER)” for “multimodal or through transportation” as Ontario, CA. The waybill is also marked as “=FREIGHT PREPAID=CY/Door”).

7. SEA’s Complaint alleges violations of the Shipping Act by SM Line in three separate counts:

- Violations of 46 U.S.C. § 41102(c), Unjust and Unreasonable Practices in Handling Property. CX_000002; CX_000011-12, Compl. ¶¶ 6, 46-53.
- Violations of 46 U.S.C. § 41104(a)(15), OSRA – Invoices without Information. CX_000002; CX_000013-14, Compl. ¶¶ 6, 54-58.
- Violations of 46 U.S.C. § 41104(a)(14), OSRA – Unreasonable Charges. CX_000002; CX_000014-15, Compl. ¶¶ 6, 59-61.

8. SEA has sought reparations from SM Line in connection with the payments since 2020 of more than “4,500 individual demurrage type charges and in excess of 10,000 detention

type charges.” CX_000011, Compl. ¶ 50; CX_004469, Smith Report ¶ 47; CX_005436, Smith Report, Ex. 1.1 (number and dollar amount of charges by category).

9. Between January 1, 2020 and December 31, 2022 (“Relevant Time Period”), SEA’s claims for direct damages for over 18,186 transportation charges are calculated as totaling \$14,623,542. CX_004469, Smith Report ¶ 47; CX_005012-435; CX_005436, Smith Report Exs. 1 & 1.1.

10. SEA entered into short term leases for container yard space to store containers to avoid the excessive demurrage charges accruing at the terminals. CX_004474, Smith Report ¶ 58; CX_002672-73, Rapske Dep. Tr. 60:24-61:16.

11. SEA claims out of pocket costs incurred for warehouse leases in the amount of \$1,853,758 attributed to SM Line. CX_004474-75, Smith Report ¶ 58.

12. SEA hired additional personnel to handle the inland transportation at a cost of \$45,939 attributed to SM Line. CX_004473-74, Smith Report ¶¶ 55-57.

13. SEA seeks to recover attorneys’ fees, along with applicable pre-judgment interest. CX_000016, Compl. Prayer for Relief X(1); CX_004476-77, Smith Report ¶ 63.

II. THE PARTIES

A. Complainant Samsung Electronics America, Inc.

14. SEA is a “corporation organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118.” CX_000001, Compl. ¶ 1; CX_000019, Answer ¶ 1 (admitted as to office address).

15. SEA is a leading consumer electronics company, incorporated in the United States in 1978, offering “home appliances, phones, tablets, smartwatches, mobile accessories, mobile audio, televisions, monitors, and computer products to the American public.” CX_000003, Compl. ¶ 7.

B. Respondent SM Line Corporation

16. Respondent SM Line Corporation “is a global ocean carrier with its corporate office at SM R&D Center, #78, Magokjungang 8-ro, Gangseo-gu, Seoul 07803, Korea” (“Korea HQ”). CX_000002, Compl. ¶ 2; *accord* CX_000019, Answer ¶ 2 (admitted).

17. SM Line “conduct[s] business in the U.S. under SM Line Corporation, with its principal corporate office at 1750 East Northrop Boulevard #140, Chandler, Arizona 85286” (“U.S. Office”). CX_000002, Compl. ¶ 2; *accord* CX_000019, Answer ¶ 2 (admitted).

18. SM Line is a “vessel operating ‘ocean common carrier’ as that term is defined by 46 U.S.C. § 40102 (7) and (18) and is subject to regulation by the Federal Maritime Commission (the ‘FMC’ or ‘Commission’).” CX_000002, Compl. ¶ 2; *accord* CX_000019, Answer ¶ 2 (admitted).

III. SM LINE’S MOVEMENT OF SEA CARGO

A. Mechanics of SEA Shipments

19. For the shipments at issue, SEA cargo was shipped by foreign affiliates of SEA, which contracted with and paid the freight to SM Line for the transportation services provided; SEA did not contract with SM Line. CX_002293-95, SEA 143(b)(6) Dep. Tr. 46:3-48:9.

20. The ocean freight associated with the SEA shipments was not paid by SEA and is not in dispute in this FMC proceeding. CX_000931; CX_000937, Lee Dep. Tr. 67:8-13; 73:15-20.

21. The vast majority of SEA shipments with SM Line moved under store door terms, also known as carrier haulage. CX_002637; CX_002706, Rapske Dep. Tr. 25:8-16; 94:3-15.

22. Under store door terms, cargo moves under a through bill of lading whereby the ocean carrier bears the responsibility as the common carrier for both the ocean and inland transportation of the cargo, which inland transportation could involve rail, trucking or both.

CX_000007-08, Compl. ¶¶ 31-33; CX_004452, Smith Report ¶ 17; CX_004328, Expert Report of John McCown dated Feb. 21, 2024 (“McCown Report”), ¶ 3.

23. Inland transportation costs, including D&D charges, are the ocean carrier’s responsibility, except in limited circumstances where a delay in the shipment was actually caused by the consignee (*e.g.*, SEA cannot receive a container otherwise ready for delivery). CX_002643-44; CX_002650, Rapske Dep. Tr. 31:11-32:12; 38:11-18; CX_002378; CX_002382-83, SEA 143(b)(6) Dep. Tr. 131:9-23; 135:12-136:3; CX_004333-34, McCown Report ¶ 20.

B. SEA Relied on SM Line for Store Door Service to Deliver Goods to American Consumers

24. Based on anticipated consumer demand for home appliance products, purchase orders (“POs”) are placed with overseas factories for the manufacturing and production of said products. CX_002396, SEA 143(b)(6) Dep. Tr. 149:18-22.

25. SEA is designated by the shippers as the consignee of the designated bills of lading. CX_002721, Rapske Dep. Tr. 109:10-11; CX_000007, Compl. ¶ 27.

26. SEA does not contract with ocean carriers, like SM Line, for the transportation of its goods; rather, the service contract for the transportation of goods destined for SEA is between SM Line, on the one hand, and foreign Samsung affiliates, such as Samsung SDS Global Asia Pte. Ltd. (“SDS”) or Samsung Electronics Logitech Co., Ltd. (“Logitech”), on the other. CX_002295; CX_002446, SEA 143(b)(6) Dep. Tr. 48:2-9; 199:5-9; CX_002713; CX_002738-39, Rapske Dep. Tr. 101:2-10; 126:24-127:6.

27. SM Line could contact the Inbound Team and the Direct Shipment Department with respect to inbound shipments. The Inbound Team would handle shipments whose endpoint destination was typically a SEA distribution center, and the Direct Shipment Department would

handle shipments for a SEA customer's warehouse. CX_003292-93, P. Kim Dep. Tr. 166:18-167:11.

28. Samsung SDS America ("SDSA") took over the inland transportation shipment operation when SEA changed its shipments from door moves to CY moves between 2021 and 2022, and is responsible for reviewing and paying the invoices from the truckers under CY moves. CX_002361-62, SEA 143(b)(6) Dep. Tr. 114:2-115:7; CX_004456-57, Smith Report ¶ 24; CX_004469-70, Smith Report ¶ 48.

29. Ocean freight, in connection with the carriage of SEA cargo, was fully paid to SM Line and is not disputed in this FMC proceeding. CX_000931; CX_000937, Lee Dep. Tr. 67:8-13; 73:15-20.

30. The inland transportation rates, i.e., the trucker and the railroad fees, are included in the "super all-in" ocean freight door term rates that are negotiated by foreign SEA affiliates in Korea. SEA does not pay the trucker or railroad fees. CX_002317-18, SEA 143(b)(6) Dep. Tr. 70:16-71:7; *See also*, CX_004730, K.K. Choi Dep. Ex. 8 at 4 [REDACTED]

[REDACTED]

[REDACTED]

31. Before August 1, 2022, SM Line moved cargo for SEA on store door terms such that SEA understood SM Line to be responsible for handling the movement of the goods from pickup points overseas to the U.S. endpoint. CX_002539-40, J. Choi Dep. Tr. 39:23-40:9.

32. During the Relevant Time Period, SEA relied on SM Line to deliver the containers to their final locations on time and efficiently. CX_002270, SEA 143(b)(6) Dep. Tr. 23:5-11 (SEA corporate witness Mr. Jeung Choi testifying that "[i]t was more of [SEA] relying on the carrier to deliver the containers [to SEA's customers and warehouses] on time."); CX_002302, SEA

143(b)(6) Dep. Tr. 55:14-18 (“A door term means that the shipp[ing] line[] has the responsibility to ship the container from origin pickup to the final destination, and so the shipping liner is responsible for those charges.”); *see also* CX_002706, Rapske Dep. Tr. 94:3-7 (“Well, without getting too animated about the situation is we – basically, we were paying door-to-door, which is supposed to be the gold standard for the steamship lines to manage drayage for us, and, quite frankly, it all failed.”); *see also* CX_002706, Rapske Dep. Tr. 94:12-15 (“The burden was all on us. We were paying the steamship line for the service. They failed. So we had to take it back internally to manage it ourselves.”).

33. SEA did not have infrastructure to manage inland transportation of containers after they were discharged at marine or rail terminals. CX_002360-62, SEA 143(b)(6) Dep. Tr. 113:5-115:14; CX_002680-81, Rapske Dep. Tr. 68:22-69:4.

34. For example, SEA did not have a dispatch operation to schedule trucking appointments with regard to any truckers. CX_002308; CX_002320, SEA 143(b)(6) Dep. Tr. 61:18-19; 73:19-22; CX_002850-51, Goedinghaus Dep. Tr. 76:24-77:1; 77:5-7.

35. SEA did not have any agreements with rail or trucking companies to handle inland transportation for the inland moves from the port of discharge to SEA’s customers or SEA’s warehouses. CX_002637, Rapske Dep. Tr. 25:8-16.

36. SM Line managed inland transportation of the cargo through its equipment team (“Equipment Team”). The Equipment Team managed the volume of imports being out-gated and monitored the volume of equipment being returned, as well as monitoring when equipment was out-gated beyond its free time and sending out reminders to return it. CX_001090-91, Solarez Dep. Tr. 21:6-22:12.

37. When a store door container arrives at the port, SM Line issues a work order to the truckers and directs them to take the containers from the port or the terminal and deliver them to the customers' inland destinations. CX_003173-74; CX_003174-75, P. Kim Dep. Tr. 47:23-48:10; 48:23-49:4.

38. When SEA was compelled to undertake aspects of inland transportation responsibility in order to mitigate SM Line's failures to perform and obtain delivery of its cargo, it created a new department to manage the transportation. CX_002555; CX_002587-88, J. Choi Dep. Tr. 55:6-12; 87:17-88:9.

39. While SM Line handled SEA cargo on store door terms until August 2022, all shipments thereafter were transitioned to CY terms. CX_002539-40, J. Choi Dep. Tr. 39:23-40:15.

40. Under CY terms, SM Line is the common carrier only for the ocean transportation, which terminated when the container was discharged and available for pickup at the destination port. CX_001134-35, Solarez Dep. Tr. 65:12-66:15; CX_002368, SEA 143(b)(6) Dep. Tr. 121:6-10; CX_004337-38, McCown Report ¶ 33.

41. For shipments under CY terms, the consignee would be responsible for dispatching the trucker to pick up the container from the terminal at which it was discharged and transporting that container inland on the final leg of carriage. CX_003170-71, P. Kim Dep. Tr. 44:17-45:5.

C. SM Line's Obligations as a Common Carrier

42. In contrast, for store door moves, SM Line as an ocean common carrier arranges inland transportation to the shipments' ultimate destination. CX_001998-99, Li Dep. Tr. 32:21-33:7; CX_002302; CX_002312; CX_002317-18; CX_002367-68, SEA 143(b)(6) Dep. Tr. 55:13-18; 65:9-17; 70:10-71:7; 120:25-121:10; CX_002644, Rapske Dep. Tr. 32:4-12; CX_004333; CX_004334; CX_004342-43, McCown Report ¶¶ 19, 22-23, 42-45.

43. The trucker on a store door move can be either a house trucker or a customer nominated (or customer preferred) trucker (“CNT”). CX_002313-14, SEA 143(b)(6) Dep. Tr. 66:22-67:3; CX_001134, Solarez Dep. Tr. 65:6-10.

44. Any charges resulting from SM Line’s failure to properly handle or deliver cargo to the inland destination are SM Line’s responsibility. CX_004841-43, Solarez Dep. Ex. 19; CX_004333; CX_004334; CX_004342-43, McCown Report ¶¶ 20, 23, 45.

45. During the Relevant Time Period, SM Line knew of its obligations to pay for the demurrage and detention (“D&D”) charges that accrue on store door moves and sought to minimize such moves. CX_004841, Solarez Dep. Ex. 19 at 1 [REDACTED]

[REDACTED]

[REDACTED]

IV. SM Line’s Use of Customer Nominated Truckers

46. A CNT is a trucker that a shipper/consignee may recommend or nominate to an ocean carrier to handle the inland transportation on a through bill of lading. CX_000409-10, K.K. Choi Dep. Tr. 56:23-57:14; CX_002367-68, SEA 143(b)(6) Dep. Tr. 120:25-121:10.

47. SM Line is not required to use a CNT that SEA has recommended or nominated; rather, SM Line evaluates and makes the decision whether to accept or reject a CNT. SM Line can reject a CNT recommendation. CX_000413-14, K.K. Choi Dep. Tr. 60:21-61:25; CX_002352, SEA 143(b)(6) Dep. Tr. 105:6-13; CX_004805, Solarez Dep. Ex. 12 at 1 [REDACTED]

[REDACTED]

[REDACTED]

48. The operations team in SEA’s logistics department maintains a list of potential CNTs and recommends a particular CNT “based on the past performance or past experience of

delivering into the locations of [SEA's] customers." CX_002351, SEA 143(b)(6) Dep. Tr. 104:12-19.

49. SEA "recommend[s]," but is "not mandating to use" CNTs because they are familiar with SEA's warehouses and customers' facilities. CX_001139, Solarez Dep. Tr. 70:1-17; CX_002351-52, SEA 143(b)(6) Dep. Tr. 104:20-105:13.

50. SM Line, not SEA, must approve using the CNT, and SM Line, not SEA, hires the CNT before moving any SEA shipments. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19.

51. SEA typically "introduce[s] SM Line and the [CNT], and they work out the details," without "[SEA getting] involved." CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23.

52. SEA does not know the "contract terms between [SM Line] and [the CNT]." CX_002320-21, SEA 143(b)(6) Dep. Tr. 73:12-74:2; CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23; CX_002645, Rapske Dep. Tr. 33:3-23.

53. All truckers – whether CNTs or house truckers – must meet SM Line's "contract requirements" to be approved, which includes insurance coverage, interchange agreements, and rates. CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004848-60, Askins Dep. Ex. 3.

54. SM Line may reject a CNT if the CNT is not a signatory to the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA"). CX_002017, Li Dep. Tr. 51:13-16; CX_001206, Solarez Dep. Tr. 137:12-18.

55. A CNT negotiates its rates with SM Line, and SM Line may reject a CNT if it believes the rates are too high. CX_004816, Solarez Dep. Ex. 13 at 1; CX_002985-86, Fernando Dep. Tr. 56:7-57:20.

56. While the rates for a CNT are generally higher than those of a house trucker, SM Line “has the final decision if [it is] going to use the CNT or not.” CX_003041-42, Fernando Dep. Tr. 112:25-113:23.

57. The ocean freight charges, which SM Line negotiated with the foreign shippers, were for “super all-in” door moves, including “the ocean freight [charges] and the trucker and the railroad fees” as well as “other destination charges like terminal handling.” CX_002317-18, SEA 143(b)(6) Dep. Tr. 70:3-71:7.

58. If a CNT meets SM Line’s “contract requirements” and is approved by SM Line, SM Line would then enter into an agreement with the CNT. CX_001102, Solarez Dep. Tr. 33:2-15.

59. There is no separate transportation agreement between any CNT and SEA; the contractual arrangement for the movement of cargo was handled entirely by SM Line. CX_002989-90, Fernando Dep. Tr. 60:8-61:2; CX_002308-09, SEA 143(b)(6) Dep. Tr. 61:21-62:14.

60. Benefits of using CNTs includes optimizing delivery for customers with specific requirements given that CNTs, based on past experiences, knew the routes and were familiar with the warehouse and any customer-specific requirements. CX_000416, K.K. Choi Dep. Tr. 63:2-11; CX_002637-39, Rapske Dep. Tr. 25:17-26:7; CX_001195, Solarez Dep. Tr. 126:6-17; CX_004008-09, McCown Dep. Tr. 57:25-58:13.

61. For SM Line, there is no difference between a house trucker and a CNT from an operational standpoint. CX_002016, Li Dep. Tr. 50:1-18.

62. The utilization of a CNT did not require SEA to arrange the inland transportation of the cargo and did not change SM Line's common carrier responsibility to transport the cargo. CX_001350, Askins Dep. Tr. 55:9-55:20.

63. For both CNTs and house truckers, SM Line employees would send a notice of arrival, dispatch work orders, and send daily last free day notices to truckers. CX_001349-50, Askins Dep. Tr. 54:11-55:5.

64. Dispatching the work orders followed the same process regardless of whether the work was being performed by a house trucker or CNT. CX_000220, SM Line 143(b)(6) (Session II) Dep. Tr. 171:4-9; CX_002016, Li Dep. Tr. 50:11-18; CX_001347-48, Askins Dep. Tr. 52:17-53:1.

65. All SM Line work orders specifically directed truckers to contact a designated SM Line employee, as the "person in charge" ("PIC") of the work order as soon as possible if the order could not be completed timely. CX_004716, K.K. Choi Dep. Ex. 4; CX_003645-46, Clair Dep. Tr. (Vol. 2) 273:11-274:25.

66. For all store door moves, SM Line was responsible for paying the trucker – a CNT or a house trucker alike. CX_001360, Askins Dep. Tr. 65:15-21; CX_002000-01, Li Dep. Tr. 34:14-35:3.

67. During the Relevant Time Period, for store door moves with a CNT involved, SEA had additional visibility and communication with truckers, but not additional financial and legal responsibility for the trucking carriage to the final, inland destination. CX_003010, Fernando Dep. Tr. 81:9-16.

68. SM Line did not distinguish between house truckers and CNT truckers when issuing work orders to truckers, responding to trucker delivery problems, addressing requests for extensions of last free day, handling requests to waive D&D charges, or escalating service issues or charge issues with truckers. CX_001349-52, Askins Dep. Tr. 54:11-57:20.

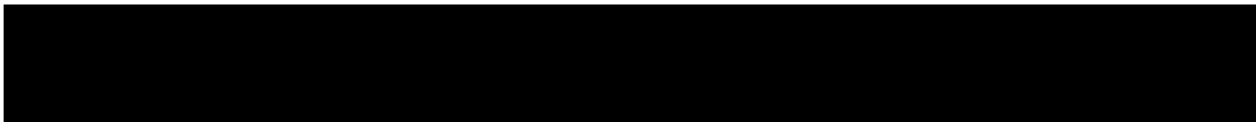
69. SM Line had agreements with truckers that acted as both CNT truckers and house truckers for SM Line, including Gold Point and PB Industries (“PBI”). CX_000221; CX_000234, SM Line 143(b)(6) (Session II) Dep. Tr. 172:15-23; 185:7-14; CX_001185, Solarez Dep. Tr. 116:4-10; CX_004765, Solarez Dep. Ex. 9 at 2 (identifying Gold Point as a house trucker).

70. Gold Point and PBI were SM Line house truckers in 2017, before they were nominated as CNTs on certain routes for SEA cargo. CX_000221, SM Line 143(b)(6) (Session II) Dep. Tr. 172:3-23.

71. Gold Point and PBI transported a minority of SEA containers during the Relevant Time Period: in 2020, 20% and 16% respectively, in 2021, 15% and 15% respectively; and in 2022, 18% and 0%, respectively. CX_004547, SM Line 143(b)(6) (Session II) Dep. Ex. 3; *see also* CX_000233-34, SM Line 143(b)(6) (Session II) Dep. Tr. 184:9-185:14 (testifying as to SM Line 143(b)(6) (Session II) Dep. Ex. 3).

72. During the Relevant Time Period, SM Line understood that it was responsible for providing chassis and ensuring the containers were available for pickup on both store door and CY moves, irrespective of use of a CNT. CX_000097-98; CX_000169, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:2; 141:9-11; CX_001201, Solarez Dep. Tr. 132:9-17; CX_001999, Li Dep. Tr. 33:8-19; CX_000064, SM Line 143(b)(6) (Session I) Dep. Tr. 36:15-18.

73. CNTs looked to SM Line for direction at key points in the arrangement of inland delivery process. CX_004871-910, Gaston Dep. Ex. 8 [REDACTED]



74. Under store door moves, if a CNT could not move a SEA shipment for lack of capacity to handle it or due to a chassis shortage, SM Line understood that it had the responsibility to procure another trucker to deliver SEA cargo without needing an approval from SEA to do so. CX_002026, Li Dep. Tr. 60:4-12.

B. SM Line's Store Door Responsibilities Did Not Change When Using CNTs

75. For a store door move, SM Line is the common carrier for both ocean and inland transportation. CX_000423-24, K.K. Choi Dep. Tr. 70:24-71:10.

76. Under store door terms, the responsibility of inland movement of cargo remained with SM Line until the goods were delivered. CX_000382, K.K. Choi Dep. Tr. 29:10-16; CX_000912-13, Lee Dep. Tr. 48:21-49:5; CX_001368, Askins Dep. Tr. 73:11-20.

77. Whether a house or CNT trucker was used by SM Line, SEA understood that it was not responsible for cargo damage during the transportation because the responsibility remained with SM Line under store door moves. CX_002345-46, SEA 143(b)(6) Dep. Tr. 98:3-99:10.

78. Under store door moves, SEA understood that SM Line was responsible for demurrage charges because SM Line was "responsible to gate [SEA containers] out." CX_002323, SEA 143(b)(6) Dep. Tr. 76:17-23.

79. If a SEA container was not out gated within free time, SM Line did not waive or pay the demurrage charges and required SEA to arrange for payment directly to the terminal before the container would be released. CX_001700; CX_001734, Gaston Dep. Tr. 47:7-11; 81:15-23.

80. SEA paid demurrage charges imposed by SM Line (and/or SM Line's terminal subcontractors) because SM Line did not pay them, and doing so was the only way to get containers

moved out of the terminal. CX_002277; CX_002279; CX_002414-15, SEA 143(b)(6) Dep. Tr. 30:12-16; 32:5-14; 167:13-168:14.

81. If SEA was directly at fault for demurrage charges, SEA would pay them. CX_003023-24, Fernando Dep. Tr. 94:18-95:7.

82. SEA does not contract with ocean carriers, like SM Line, for the transportation of its products. Rather, the service contract for the transportation of goods destined for SEA is between SM Line and SDS or Logitech. CX_002293-95, SEA 143(b)(6) Dep. Tr. 46:3-48:9.

83. Two SM Line “Request to Use a Customer Nominated Trucker” forms (“CNT Form”) were signed by SEA in 2017. CX_003181, P. Kim Dep. Tr. 55:13-23; CX_002334-36, SEA 143(b)(6) Dep. Tr. 87:6-89:8; CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2.

84. The CNT Form was filled out by a former SEA employee, Ms. Maria Kristina Fernando, and signed by Peter Kim based on his understanding that it was to recommend a CNT to handle a particular lane to SM Line. CX_003180; CX_003181, P. Kim Dep. Tr. 54:12-16; 55:13-23; CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2.

85. If the CNT Form was meant by SM Line to have binding, legal effect, the multi-step internal processes for SEA require submitting the form “through legal and have a legal seal mark, and the legal team would have to approve first, and then secondly, it would have to have been signed by either an executive of SEA, meaning VP level and above.” CX_002338, SEA 143(b)(6) Dep. Tr. 91:2-11.

86. Peter Kim was a Senior Manager for SEA in 2017. CX_003148-49, P. Kim Dep. Tr. 22:21-23:14.

87. Peter Kim did not have authority to execute contracts on SEA’s behalf. CX_002337-38, SEA 143(b)(6) Dep. Tr. 90:22-91:11.

88. The CNT Form was not countersigned by anyone at SM Line. CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2.

89. SM Line's internal policy manual for CNT nominations expressly states "[p]lease note that CNT Approvals will only be valid for the life of the S/C. Once expired, CNTs will no longer be valid. A new request will be required when new service contracts are made to ensure that trucking costs are properly covered." CX_005575, SM Line_0058956 at SM Line_0058960.

90. In accordance with SM Line's policy manual, the two CNT Forms were not effective during the Relevant Time Period. CX_005575, SM Line_0058956.

91. No CNT Forms for the Relevant Time Period (i.e., 2020-2022) were produced in this case by SM Line. CX_000215-17; CX_000235-38, SM Line 143(b)(6) (Session II) Dep. Tr. 166:5-168:14; 186:6-189:4.

V. THE PANDEMIC CAUSED INCREASED CONSUMER DEMAND FOR HOME APPLIANCES

92. On March 11, 2020, the World Health Organization declared that COVID-19 was officially characterized as a pandemic. CX_005609, <https://www.who.int/director-general/speeches/detail/who-director-general-s-opening-remarks-at-the-media-briefing-on-covid-19---11-march-2020>.

93. The pandemic caused a surge in consumer demand for SEA home appliances such as refrigerators, ranges, microwave ovens, and washing machines, when consumers found themselves spending more time at home with greater disposable income. CX_001163-64, Solarez Dep. Tr. 94:15-95:14; CX_004454-55, Smith Report ¶ 21; CX_005615, Nora Naughton & Austen Hufford, *Why You Might Have Trouble Getting the Refrigerator, Can of Paint or Car You Want*, WALL ST. J. (October 25, 2020), <https://www.wsj.com/articles/factories-rush-to-keep-up-with-post-lockdown-shipping-11603627201>.

94. SEA was motivated to meet the increased demand in the most efficient way possible during the pandemic. There were around 300-350 containers that moved in and out of the warehouse facilities on a weekly basis during the height of the COVID-19 pandemic. Usually the amount was around 200-250. SEA would quickly react to warehouse space issues and established multiple overflow locations. CX_002670-75, Rapske Dep. Tr. 58:16-59:24; 60:4-16; 60:24-61:23; 62:19-63:9; CX_004458-59, Smith Report ¶ 28.

95. There was no need to incentivize SEA to move its containers from port terminals and railheads to its warehouses or to its customers; indeed, SEA's concerns about the interruptions in their supply chain to its U.S. customer base made moving its inbound containers a priority over everything else, including forming a task force in the midst of the crisis to address the fact that SEA was "bleeding money" over the ocean carriers' refusal to perform under their store door agreements. CX_002414-15, SEA 143(b)(6) Dep. Tr. 167:13-168:14 ("So I told you the priority was to move the containers. It wasn't – of course, bleeding money or the cost wasn't as important as much – but at that point of time, the containers weren't moving, and that was a priority for Samsung. So to your point, the importance was, let's get these containers moving first. That was the priority at that time."); CX_002435-36, SEA 143(b)(6) Dep. Tr. 188:24-189:8 ("Yes. Of course, our SDSA organization was raising issues on demurrage and detention [being charged by SM Line], but mostly because we need to gate them out and have the products flow.").

VI. SM LINE'S INLAND TRANSPORTATION FAILINGS

96. In response to increasing SM Line performance failures, delays, and charges, SEA undertook mitigation efforts to get its cargo delivered from SM Line. These efforts included making arrangements to lease chassis from truckers who would pick up shipments from terminals at SEA's own cost, due to SM Line chassis shortages. CX_002822-23, Goedinghaus Dep. Tr. 48:3-49:15.

97. SEA created a weekly report which highlighted SM Line's delayed and aging containers. The report includes information on how many containers are and were in detention or demurrage that week. The report and potential solutions were discussed at a weekly meeting at a manager level. CX_002629-30, Rapske Dep. Tr. 17:3-8; 17:21-18:10; CX_002592-93, J. Choi Dep. Tr. 92:6-93:6.

98. As an ocean carrier contracting for a store door move, SM Line understood that it was responsible for arranging inland transportation to the ultimate destination. CX_000381-83, K.K. Choi Dep. Tr. 28:4-23; 28:25-29:16; 29:18-30:25; CX_001114, Solarez Dep. Tr. 45:18-20; CX_001998-99, Li Dep. Tr. 32:21-33:7; CX_002539-40, J. Choi Dep. Tr. 39:23-40:9.

99. SM Line understood its obligation under a store door move, and knew of trucker shortages, but forced SEA to be responsible for all D&D charges during the Relevant Time Period because of SEA's use of CNTs. *Compare* CX_001193-94; CX_001200, Solarez Dep. Tr. 124:14-125:2; 131:8-19 (discussing all-inclusive rate as [REDACTED])

[REDACTED]
[REDACTED] with CX_004800, Solarez Dep. Ex. 10
at 7 [REDACTED]

[REDACTED]
[REDACTED] CX_002052-53, Li Dep. Tr. 86:15-20; 86:24-87:16; CX_003083-84, Fernando Dep. Tr. 154:20-155:7.

100. SM Line, as the ocean carrier, was responsible to ensure trucker availability, whether it did so by paying higher rates or taking other steps within SM Line's control and discretion. CX_001195-99, Solarez Dep. Tr. 126:18-130:1; CX_004816, Solarez Dep. Ex. 13 at 1; CX_003084, Fernando Dep. Tr. 155:19-25.

101. During the Relevant Time Period, due to driver shortages, truckers would sometimes reject work orders entirely. CX_002055-56, Li Dep. Tr. 89:23-90:1.

102. SM Line's U.S. Office employees did not receive any specific instructions on how to respond to problems such as congestion and labor shortages, but instead only "tr[ied] to operate normally." CX_002054, Li Dep. Tr. 88:17-23; *see also* CX_001183-84, Solarez Dep. Tr. 114:20-115:11.

103. On many occasions, when SM Line could not locate a trucker, or thought that it would be too expensive to provide a trucker for SEA cargo, SM Line informed SEA that the move should be changed or diverted to a CY move instead. CX_001256-57, Solarez Dep. Tr. 187:16-188:7; CX_004802-03, Solarez Dep. Ex. 10 at 9-10 (internal SM Line emails dated August 27, 2021 and August 28, 2021, respectively) [REDACTED]

[REDACTED] CX_002178-79, Han Dep. Tr. 75:15-76:2.

104. When truckers informed SM Line that they would not be responsible for demurrage arising due to issues such as no appointments and chassis shortages, SM Line instructed the truckers to look to SEA since [REDACTED] CX_001256-57, Solarez Dep. Tr. 187:24-188:7; CX_004846, Solarez Dep. Ex. 28 at 3; CX_005581, SM Line_0059050 at SM_0059053.

B. Port/Terminal Congestion and SM Line's Response

105. Regardless of whether a move was a store door move or CY move, SM Line was responsible for ensuring that containers are made available for pickup. CX_000093; CX_000098, SM Line 143(b)(6) (Session I) Dep. Tr. 65:12-15, 70:3-6.

106. For store door moves, SM Line was responsible for arranging the removal of the cargo from the port. CX_000912-13, Lee Dep. Tr. 48:21-49:5; CX_001998-99, Li Dep. Tr. 32:21-33:7.

107. SEA was not responsible for arranging removal of cargo on store door moves, and SEA was not permitted to pick up the cargo without SM Line's express permission. CX_000068; CX_000093; CX_000098, SM Line 143(b)(6) (Session I) Dep. Tr. 40:2-8; 40:10-13; 65:12-15; 70:3-6.

108. The marine and inland rail terminals where SM Line moved SEA cargo were "subcontractors of SM Line." CX_000080, SM Line 143(b)(6) (Session I) Dep. Tr. 52:6-8; 52:16-17.

109. SM Line was responsible for the policies and practices that the terminals follow when assessing demurrage. CX_000168, SM Line 143(b)(6) (Session I) Dep. Tr. 140:5-16; CX_000494, K.K. Choi. Dep. Tr. 141:17-24.

110. When a terminal is congested and a container is not available for pick up, SM Line should waive or cancel the charge. CX_001576-78, Ma Dep. Tr. 66:19-68:19; CX_001714-15, Gaston Dep. Tr. 61:20-62:6; CX_001124-25; CX_001128, Solarez Dep. Tr. 55:7-56:25; 59:8-14.

111. When a terminal is closed, a container pickup is not possible, so SM Line should have stopped the D&D clock. CX_001124-25, Solarez Dep. Tr. 55:7-19; 56:14-22; CX_001579, Ma Dep. Tr. 69:5-12; CX_001343, Askins Dep. Tr. 48:14-25.

112. SEA has no control over appointment availability at the terminal. CX_002876-77, Goedinghaus Dep. Tr. 102:10-103:1.

113. SM Line has the contractual relationship with the marine terminals and therefore can request the terminal to extend the last free day (“LFD”) and clear storage. CX_001723-24, Gaston Dep. Tr. 70:20-71:13; 71:19-24.

114. According to SM Line, a container is considered available if customs is cleared and the container is “ready for pickup.” CX_002081-82, Li Dep. Tr. 115:12-116:3.

115. SM Line employees testified that SM Line’s practice, if there were no appointments at the terminal, was that SM Line still considered the container available for pickup because SM Line contended that the lack of appointments “is the terminal’s issue, not SM Line’s issue.” CX_002081-82, Li Dep. Tr. 115:12-116:3; *see also* CX_001128, Solarez Dep. Tr. 59:8-19 (stating that terminal congestion would not warrant a “stop clock” on demurrage because it “is something that’s out of our control.”).

116. SM Line employees testified that SM Line’s practice, for issues beyond a customer’s control, like lack of appointment availability, was not to automatically waive D&D charges. CX_002082, Li Dep. Tr. 116:9-25; CX_001599-600, Ma Dep. Tr. 89:21-90:3; CX_001128, Solarez Dep. Tr. 59:8-19.

117. When SM Line received complaints from SEA or a trucker that there was terminal congestion preventing the return of equipment, SM Line’s response was frequently that the issue was “outside of [SM Line’s] control” and therefore the LFD would not be extended, and SEA had to pay the demurrage for SM Line to move the container. CX_004844-47, Solarez Dep. Ex. 28; CX_004911-18, Gaston Dep. Ex. 17; CX_001128, Solarez Dep. Tr. 59:8-19.

C. Empty Return Restrictions and SM Line Responsibility

118. SM Line designates the location where consignees and truckers can return an empty container. CX_001127-28, Solarez Dep. Tr. 58:16-59:7.

119. SM Line only offered equipment returns at marine terminals. CX_001127-28, Solarez Dep. Tr. 58:10-59:7.

120. If there was an empty return restriction, such as no available appointments or dual transactions (i.e., swapping an empty container for a full one) required, SM Line's stated policy was that it should inactivate, or cancel, the detention charge. CX_001576-78, Ma Dep. Tr. 66:19-68:5; CX_001129, Solarez Dep. Tr. 60:7-20; CX_004863-68, Ma Dep. Ex. 7.

121. SM Line could issue a "stop clock" when terminals were not accepting empty equipment and were shutting SM Line out of the terminals. CX_001216, Solarez Dep. Tr. 147:1-8; CX_001596-600, Ma Dep. Tr. 86:12-87:12; 87:17-88:6; 89:10-15; 89:21-90:3; CX_001343, Askins Dep. Tr. 48:14-25.

122. In 2020, SM Line only allowed its equipment to be returned to a marine terminal and only had one location in Los Angeles and Long Beach to return empty containers. SM Line admits that this return location would experience challenges since "the terminal has been struggling with yard space", but it would not stop the clock unless the terminal was not accepting equipment at all. CX_004869-70, Gaston Dep. Ex. 6; CX_001479-81, Askins Dep. Tr. 184:18-186:2; CX_004861, Askins Dep. Ex. 10; CX_001127-29, Solarez Dep. Tr. 58:3-60:6.

123. If a container accrued detention before it was returned, the detention invoice would be issued automatically a day after the empty container was returned to the terminal. CX_001529-30, Ma Dep. Tr. 19:10-20:2.

124. There is no verification or review by a SM Line employee before a D&D invoice is issued. CX_001529-30; CX_001543, Ma Dep. Tr. 19:10-20:2; 33:1-15.

125. SM Line did not review invoices unless they were disputed. CX_001582; CX_001583, Ma Dep. Tr. 72:7-25; 73:9-11.

126. Only the Network Operations Team (known as SELCON) in SM Line's Korea HQ could approve a stop clock. CX_001597-98, Ma. Dep. Tr. 87:17-88:2; CX_01391-93, Askins Dep. Tr. 96:14-98:20 ("send[ing] a request to our head office to issue the stop clock in our system when the terminal was not accepting consignees and/or closed.").

127. Unless a terminal was actually closed or not accepting equipment, SM Line would not suspend the running of free time, i.e., SM Line would not issue a stop clock to prevent charges accruing. CX_001128, Solarez Dep. Tr. 59:8-14.

128. If the terminal was open, but with long lines preventing a trucker from accessing the terminal, SM Line did not believe a stop clock was warranted. CX_001128-29, Solarez Dep. Tr. 59:24-60:6.

D. Rail Movements for SM Line Moves of SEA Cargo

1. Contractual undertakings by SM Line on store door moves

129. SM Line subcontracts with rail carriers in the U.S. to provide inland rail service for its through bills of lading. CX_000493-95, K.K. Choi Dep. Tr. 140:7-142:25.

130. Union Pacific Railroad ("UPRR") is a subcontractor of SM Line. CX_000493-95, K.K. Choi Dep. Tr. 140:7-142:25.

131. SEA does not have a contractual relationship and is not otherwise tied to the railroads, as the *only* contractual relationship is between the railroads and SM Line. CX_000495, K.K. Choi Dep. Tr. 142:7-25; CX_002747, Rapske Dep. Tr. 135:2-12.

132. SM Line is responsible for the practices of its subcontractors that result in the assessment of demurrage charges. CX_000168, SM Line 143(b)(6) (Session I) Dep. Tr. 140:11-16.

133. The rail carriers issue bills of lading to SM Line for rail carriage, which list SM Line as the shipper. CX_000171-72; CX_000173, SM Line 143(b)(6) (Session I) Dep. Tr. 143:24-144:5; 145:1-6.

134. SM Line was aware of the last free days of all containers at rail terminals and would send reminders to the truckers on containers exceeding free time at rail ramps. CX_001094-95, Solarez Dep. Tr. 25:5-10; 25:22-26:5; CX_001349-50, Askins Dep. Tr. 54:11-55:5; CX_002134, Han Dep. Tr. 31:4-22.

135. SM Line is responsible for making containers available for pick up at the rail terminals. CX_001147-48, Solarez Dep. Tr. 78:17-79:22.

136. SM Line is responsible for ensuring that chassis are available to truckers on all store door moves. CX_000097-98; CX_000169, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:2; 141:9-11; CX_001092, Solarez Dep. Tr. 23:9-25.

137. If there was a chassis shortage and containers could not be placed directly on a chassis at rail terminals, containers would be stacked at the rail terminal and would not be available for pickup. CX_000496-97, K.K. Choi Dep. Tr. 143:21-144:15; CX_001131-32, Solarez Dep. Tr. 62:17-63:12.

138. According to an SM Line witness, railroad lines would refuse to extend the last free day at rail terminals because the railroad would claim that delays at the rail terminals were “out of their control.” CX_001131-32, Solarez Dep. Tr. 62:17-63:12.

139. The term “rail storage” refers to the daily charge that railheads charge for containers which remain at their facilities past their allotted free days (which free period typically is 48 hours). CX_001145-46, Solarez Dep. Tr. 76:25-77:9 (“Once [a container arriving by rail] exceeds that [48 hour free] time, the container goes into what is called rail storage. It is much like demurrage.

Basically, the rail starts charging per day for the containers sitting there beyond their free time.”); *see also* CX_002425-26, SEA 143(b)(6) Dep. Tr. 178:22-179:6 (described by SEA’s Mr. Jeung Choi as a type of demurrage but “it’s labeled as rail storage . . . [f]rom an aggregate grouping level it falls under demurrage.”); *accord* CX_004462, Smith Report ¶ 34(b) (defining “Rail Storage” as “amount charged to store containers at a rail facility beyond the allotted free days”) (citing Container Xchange, container.xchange.com, April 24, 2023 (<https://www.container-xchange.com/blog/whats-the-difference-between-demurrage-and-storage-charges/>)).

140. Despite the shortage of chassis, SM Line would not clear the rail storage even though it was responsible for providing chassis. CX_001228, Solarez Dep. Tr. 159:2-21.

2. The scope of demurrage imposed on SEA despite store door moves

141. Between 2019 and 2020, SEA was not compelled to pay rail storage charges. CX_005437, Smith Report, Ex. 2.

142. Commencing during the pandemic, inland railheads like Chicago’s Union Pacific Joliet Ramp began to stack containers upon their arrival by rail as there were not enough chassis on which the arriving containers could be placed directly upon chassis, yet free days would still not be extended for those containers. CX_001129-32; CX_001145-46, Solarez Dep. Tr. 60:22-63:12; 76:23-77:16.

143. At one point, the container volumes at the railheads and delays in releasing containers became so severe that SM Line “pleaded and begged” with the Union Pacific Railroad to waive the accumulating rail storage charges, in response to which the railroad agreed for a period of time to limit rail storage charges per container to \$2,450. CX_001147-48, Solarez Dep. Tr. 78:21-79:9.

144. Prior to 2021, SM Line refused to extend the last free day or waive demurrage charges when containers were stacked at the rail terminal and the trucker could not pick up the container. CX_001227-28, Solarez Dep. Tr. 158:4-159:21. SM Line passed on all charges despite the container not being available for pick up. *See, e.g.*, CX_001126; CX_001127, Solarez Dep. Tr. 157:19-23; 158:4-7; CX_004834-40, Solarez Dep. Ex. 17.

145. SM Line, exerting its negotiating power as the contractual counterparty, ultimately negotiated with its subcontractor Union Pacific Railroad to cap rail storage charges to not more than \$2,450 per container. CX_001446-48, Askins Dep. Tr. 151:9-153:19; CX_001147-48, Solarez Dep. Tr. 78:18-79:18; CX_004752-53, Solarez Dep. Ex. 4 at 1-2; CX_004919-68, Li Dep. Ex. 2.

146. If a container at a rail terminal was not accessible for pick up, SM Line “expected,” but did not confirm, that the railroad would extend the container’s last free day (“LFD”) and not charge storage. CX_001130-31, Solarez Dep. Tr. 61:21-62:11.

147. For both house truckers and CNTs, when a container was not available for pick up, SM Line routinely required consignees to pay rail storage charges. CX_002077, Li. Dep. Tr. 111:11-24.

148. If a container accrued demurrage charges at a rail terminal, SM Line did not evaluate the reason for the delay resulting in the charges before requiring that SEA pay the charges. CX_002077, Li. Dep. Tr. 111:11-24.

149. Amongst other causes for delays at the rail terminals, the rail terminal would “stack” containers (i.e., place them on one another) if no chassis were available and then later fail to cooperate in the subsequent mounting of stacked containers on chassis when they would become available, and would also refuse to allow external chassis from entering their facility so that the

consignee could remove its containers from the rail terminal. CX_002439-41, SEA 143(b)(6) Dep. Tr. 192:9-194:13.

150. SM Line would sometimes dispute the rail charges, but if the railroad declined to waive them, the consignee (here, SEA) was held responsible for paying rail storage charges. CX_002078, Li Dep. Tr. 112:5-20.

151. SM Line frequently rejected requests to clear rail storage and extend the LFD when there was congestion or chassis shortages at the rail terminal, because SM Line claimed that it “can’t absorb any rail storage.” CX_004834-40, Solarez Dep. Ex. 17.

152. SM Line forced SEA to pay all rail storage before SM Line would permit release of containers at rail terminals. CX_002663-64, Rapske Dep. Tr. 51:20-52:11.

153. As a result of SM Line’s position, in just a six-month period in 2021, SEA was compelled to pay about \$2 million in rail storage charges. CX_005437, Smith Report, Ex. 2.

E. Chassis Shortages and SM Line’s Derogation of Duties

154. SM Line understood that it was contractually obligated to provide chassis for all moves where SEA was the consignee, including CNT store door moves, house trucker store door moves, and CY moves. CX_000097-98; CX_000169, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:2; 141:9-11; CX_001375, Askins Dep. Tr. 80:12-25.

155. SM Line does not own its own chassis. CX_001091-92; CX_001210, Solarez Dep. Tr. 22:13-23:8; 141:12-14.

156. SEA neither owned its own chassis nor leased chassis from a chassis provider; ultimately, SEA leased chassis from individual truckers on a daily basis in order to transport containers out of the terminals as the steamship lines’ chassis pools had no chassis to supply. CX_002822-23, Goedinghaus Dep. Tr. 48:1-49:11.

157. SM Line's stated policy was to cover chassis charges. CX_001201; CX_001222, Solarez Dep. Tr. 132:9-17; 153:7-11.

158. SM Line contracted with TRAC Intermodal ("TRAC") to provide chassis to customers; there is no difference in the pool chassis TRAC provided to a CNT or house trucker – whether store door or CY move. CX_000171; CX_000173, SM Line 143(b)(6) (Session I) Dep. Tr. 143:9-11; 145:14-16; CX_001186; CX_001210-11, Solarez Dep. 117:4-5; 141:12-142:1; CX_001376-79, Askins Dep. Tr. 81:8-84:1.

159. During the pandemic, SM Line experienced significant chassis shortages. CX_001092, Solarez Dep. Tr. 23:9-25; CX_004861, Askins Dep. Ex. 10.

160. It was SM Line's policy to not allow truckers to use their own chassis. If an exception was made, SM Line instructed the trucker to bill SEA directly for the daily chassis fees, even though SM Line was responsible for providing chassis. CX_002027-28; CX_002028, Li Dep. Tr. 61:22-62:12; 62:14-22; CX_001426-29, Askins Dep. Tr. 131:18-134:25; CX_004848-54, Askins Dep. Ex. 3 at 1-7.

161. Due to chassis shortages, SEA was often forced to prepull containers for storage at off-dock container yards at its own cost to avoid demurrage. CX_002670-71, Rapske Dep. Tr. 58:16-59:24.

162. During the Relevant Time Period, SEA reached out to SM Line for assistance with chassis shortages, to no avail. CX_002070-71, Rapske Dep. Tr. 58:16-59:24.

163. Whether on a CNT or house trucker move, if a trucker contacted SM Line about chassis or operational issues, SM Line would try to communicate with TRAC. But because SM Line has a sole relationship with TRAC, neither the trucker nor SEA had the ability to resolve the issues with TRAC. CX_001188-90; CX_001190, Solarez Dep. Tr. 119:25-121:4; 121:11-17.

164. SM Line's own equipment control manager admitted that during the Relevant Time Period, there was nothing a consignee like SEA could do to address or resolve a chassis shortage. CX_001189, Solarez Dep. Tr. 120:10-20.

165. Due to SM Line's failure to provide chassis, SEA was forced to lease chassis from truckers for picking up shipments at terminals to mitigate the damages. SEA, which was not responsible for providing chassis, had to pay for such chassis on a daily basis at rates higher than what SM Line paid for chassis from chassis pools. CX_002822; CX_002822-23; CX_002842, Goedinghaus Dep. Tr. 48:3-17; 48:24-49:15; 68:20-22.

166. As a result of the chassis shortage and lack of available appointments, SEA's containers accrued even more charges. CX_002882-83, Goedinghaus Dep. Tr. 108:16-109:8; CX_004974, Goedinghaus Dep. Ex. 7 at 4.

VII. SM LINE'S D&D PRACTICES

A. The D&D Management Plan and its Many Iterations to Generate Revenue

167. SM Line adopted its initial [REDACTED]
[REDACTED] CX_004549-77, SM Line 143(b)(6) (Session III) Dep. Ex. 1.

168. The stated purpose of the D&D Management Procedure was to [REDACTED]
[REDACTED]
[REDACTED] CX_000107-08, SM Line 143(b)(6) (Session I) Dep. Tr. 79:21-80:3; CX_004693, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 4.

169. Charge "inactivation" was the term used by SM Line referring to the cancellation of D&D charges that should not have been charged. CX_000148, SM Line 143(b)(6) (Session I) Dep. Tr. 120:5-6; CX_001123, Solarez Dep. Tr. 54:11-23.

170. The D&D Management Procedure does not provide guidance on how to review claims for equipment damages, system errors and limitations, force majeure, or SM Line's responsibility (i.e. vender service failures). CX_004710-12, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 21-23.

171. A charge discount is a reduction in the amount of a D&D charge after the invoice has been issued. CX_004694, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 5.

172. The D&D Management Procedure has been updated five (5) times between 2017 to 2022. CX_004549-77, SM Line 143(b)(6) (Session III) Dep. Ex. 1; CX_004578-606, SM Line 143(b)(6) (Session III) Dep. Ex. 2; CX_004607-35, SM Line 143(b)(6) (Session III) Dep. Ex. 3; CX_004636-64, SM Line 143(b)(6) (Session III) Dep. Ex. 4; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6.

173. In the original 2017 version of the D&D Management Procedure, requests for charge or inactivation were first considered by the regional office. CX_000270-71, SM Line 143(b)(6) (Session III) Dep. Tr. 213:12-16; 213:23-214:4; CX_004570-73, SM Line 143(b)(6) (Session III) Dep. Ex. 1.

174. Prior to November 2022, the U.S. regional office had approval authority for charge discount requests only up to [REDACTED] per bill of lading, and approval for all charge discount requests over [REDACTED] per bill of lading had to come from SM Line's Korea HQ. CX_000271-73, SM Line 143(b)(6) (Session III) Dep. Tr. 214:14-216:7; CX_004570-72, SM Line 143(b)(6) (Session III) Dep. Ex. 1.

175. The D&D Management Procedure was revised in September 2020 (revision 3); but none of the revisions were made in response to the requirements set forth in the FMC's Interpretive

Rule. CX_000274-75, SM Line 143(b)(6) (Session III) Dep. Tr. 217:13-218:1; CX_004607-35, SM Line 143(b)(6) (Session III) Dep. Ex. 3.

176. In the 2020 revision of the D&D Management Procedure (version 3), all approval authority for discount requests that the regional offices previously had was removed, and all approvals for discount or inactivation could only be approved at the Korea headquarters. CX_000275, SM Line 143(b)(6) (Session III) Dep. Tr. 218:2-22; CX_004628-30, SM Line 143(b)(6) (Session III) Dep. Ex. 3.

177. The D&D Management Procedure was updated to its current version (version 5) in November 2022, and because of OSRA, it provided the head of the U.S. office approval authority for discount requests up to [REDACTED] per container. CX_000303; CX_000304, SM Line 143(b)(6) (Session III) Dep. Tr. 246:11-24; 247:8-15; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 1.

178. For discount requests above [REDACTED] but below [REDACTED] Mr. Hyun-Yong Jung (the head of Sales and Logistics in SM Line's Korea HQ) had the ultimate approval authority, and any requests above [REDACTED] per terminal were required to be additionally approved by the SM Line CEO. CX_000305, SM Line 143(b)(6) (Session III) Dep. Tr. 248:20-23; CX_000603-08, Jung Dep. Tr. 37:25-42:6; CX_004707, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 18.

179. For all charge inactivation requests, SM Line required approval from SM Line's Korea HQ; the U.S. office did not have approval authority for inactivation requests. CX_004709-12, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 20-23; CX_000272-73; CX_000275; CX_000276, SM Line 143(b)(6) (Session III) Dep. Tr. 215:19-216:7; 218:7-22; 219:9-22; CX_001157, Solarez Dep. Tr. 88:10-21 (explaining that the ultimate decision-maker on inactivation is always upper management: "It always requires their sign-off").

180. Except for increasing the authority of the U.S. office to discount D&D charges from a cap of [REDACTED] per bill of lading to a cap of [REDACTED] per bill of lading, SM Line has not made any material changes to its D&D Management Procedure since the 2020 Interpretive Rule or OSRA in 2022. CX_000302-04, SM Line 143(b)(6) (Session III) Dep. Tr. 245:8-247:15; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6; CX_004636-64, SM Line 143(b)(6) (Session III) Dep. Ex. 4.

181. After the November 2022 D&D Management Procedure revision, approval for any discounts of D&D charges above \$1,500 per bill of lading required approval from SM Line's Korea HQ, and all decisions to stop clock or waive/inactivate D&D of any value required approval from SM Line's Korea HQ. CX_004607, SM Line 143(b)(6) (Session III) Dep. Ex. 3 at 1; CX_000438-39, K.K. Choi Dep. Tr. 85:23-86:20.

182. Decisions on discounts were communicated via email, which was subject to SM Line's 90-day email deletion policy, and no separate records of these approvals were maintained. CX_000610-11, Jung Dep. Tr. 44:22-45:13.

183. Pursuant to the D&D Management Procedure, the SELCON team was supposed to maintain records of D&D discount decisions, but Mr. Jung, who oversees SELCON, did not know whether SELCON did in fact maintain such records. CX_004690, SM Line 143(b)(6) Session III Dep. Ex. 6; CX_000611-12, Jung Dep. Tr. 45:21-25; 46:9-17.

184. Mr. Jung did not rely on specific criteria to make decisions to approve or deny a discount request, nor did he consult his professional experience or written guidelines. CX_000615-16, Jung Dep. Tr. 49:18-50:7; 50:18-51:3. Mr. Jung did not make a responsibility determination about D&D discounts from the perspective of who was at fault. CX_000621-22; CX_000616-17, Jung Dep. Tr. 55:11-56:24.

185. SM Line's U.S. office recommended inactivation of detention charges only in *extremely rare* circumstances, such as when a container was stolen or damaged at the port, and did not inactivate D&D charges for any of the reasons for inactivation listed in the D&D Management Procedure. CX_000432-34, K.K. Choi Dep. Tr. 79:18-81:25; CX_000272-73; CX_000275; CX_00276, SM Line 143(b)(6) (Session III) Dep. Tr. 215:19-216:7; 218:7-22; 219:9-22; CX_001157, Solarez Dep. Tr. 88:10-21; CX_004709-12, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 20-23.

186. When a container has an *unable to locate* ("UTL") status or where there are no available appointments, if the D&D Management Procedure was properly followed, charges of that type would be covered by the list of reasons to inactivate charges and the charges should be cancelled. CX_000167-68, SM Line 143(b)(6) (Session I) Dep. Tr. 139:18-140:4; CX_004541-44, SM Line 143(b)(6) (Session I) Dep. Ex. 11 (email communication dated October 21, 2020); CX_004711, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 22.

187. Within SM Line, SELCON in Korea HQ was responsible for setting and managing SM Line's D&D policy per the Management Plan. CX_001122-23, Solarez Dep. Tr. 53:21-54:1; CX_000456, K.K. Choi Dep. Tr. 103:5-19.

188. SM Line's SELCON team created guidelines for managing D&D using SM Line's ALPS system ("ALPS D&D Guidelines"). CX_000279-80, SM Line 143(b)(6) (Session III) Dep. Tr. 222:20-223:9; CX_004665-89, SM Line 143(b)(6) (Session III) Dep. Ex. 5.

189. The ALPS D&D Guidelines provide guidance on the type of evidence to be included with a charge discount request. CX_000284-85, SM Line 143(b)(6) (Session III) Dep. Tr. 227:8-228:9.

190. SM Line was unable to confirm if ALPS D&D Guidelines existed for charge inactivation, and SM Line did not produce any written guidelines for charge inactivation using the ALPS system. CX_000282-83, SM Line 143(b)(6) (Session III) Dep. Tr. 225:20-226:15.

191. SM Line does not have any fixed or formal guidelines or standards that are applied when evaluating a discount or inactivation request. CX_000299, SM Line 143(b)(6) (Session III) Dep. Tr. 242:7-22; CX_004665-89, SM Line 143(b)(6) (Session III) Dep. Ex. 5.

192. A discount or inactivation will only be evaluated if a customer first expressly requests one. CX_001158, Solarez Dep. Tr. 89:8-23; CX_001582, Ma Dep. Tr. 72:15-18.

193. The evaluation of discount requests was predominantly a commercial evaluation; whether the charge was consistent with the Incentive Principle was not a factor in the ALPS D&D Guidelines. CX_000290-91; CX_000304-05, SM Line 143(b)(6) (Session III) Dep. Tr. 233:19-234:15; 247:25-248:11.

194. SM Line personnel making D&D discount decisions did not consider which party was at fault for the circumstances giving rise to the charge: “I don’t think I have any recollection where I approached this [D&D] discount issue from a perspective of who is at fault.” CX_000621-22, Jung Dep. Tr. 55:11-56:24.

195. The top three circumstances where SM Line inactivated, *i.e.*, waived, D&D charges were: (1) delay caused by congestion at the terminal, (2) unable to locate containers, and (3) differences existed in the calculation of the last free date between the terminal and SM Line’s system. CX_000149-50, SM Line 143(b)(6) (Session I) Dep. Tr. 121:9-122:4.

B. 2022 DEM/DET Management Improvement Plan (SM Line_0178389)

196. In mid-2022, Mark Yoon-Jae Lee was the managing director and vice president of SM Line HQ. CX_000893-94, Lee Dep. Tr. 29:20-30:10; CX_000674-76, S.H. Kim Dep. Tr. 21:5-23:6; CX_000618; CX_000618-19, Jung Dep. Tr. 52:15-53:5.

197. At that time, Mr. Lee noticed that SM Line was facing significant issues collecting D&D in the U.S. CX_000674-76, S.H. Kim Dep. Tr. 21:5-23:6.

198. Mr. Lee directed Mr. Sung-Hyun Kim to research whether SM Line directly collecting D&D charges would reduce issues in collecting D&D. CX_000673-76, S.H. Kim Dep. Tr. 20:5-23:6.

199. Sung-Hyun Kim has been employed by SM Line since 2017 and was promoted to team manager of SELCON in January of 2023. CX_000665, S.H. Kim Dep. Tr. 12:4-9.

200. Members of the SELCON team in SM Line's Korea HQ created a Demurrage and Detention Improvement Plan for 2022, dated October 26, 2022 ("D&D Improvement Plan"). CX_000673; CX_000676, S.H. Kim Dep. Tr. 20:17-19; 23:7-11.

201. The purpose of the D&D Improvement Plan was to [REDACTED]
[REDACTED] CX_004743, S.H. Kim Dep. Ex. 2 at 2 (emphasis added).

202. The D&D Improvement Plan states [REDACTED]
[REDACTED]
[REDACTED] CX_004743, S.H. Kim Dep. Ex. 2 at 2.

203. SM Line's D&D Improvement Plan identifies that SM Line externally messaged to shippers reasons for using D&D that were different than its [REDACTED] for using D&D. CX_004744, S.H. Kim Dep. Ex. 2 at 3; CX_000694, S.H. Kim Dep. Tr. 41:21-24; CX_000128-129; CX_000137, SM Line 143(b)(6) (Session I) Dep. Tr. 100:23-101:3; 109:17-22.

204. The D&D Improvement Plan states SM Line's [REDACTED] was to [REDACTED] CX_004744, S.H. Kim Dep. Ex. 2 at 3.

205. The D&D Improvement Plan states that SM Line was [REDACTED]

[REDACTED] that the reason for SM Line's D&D was to [REDACTED]

[REDACTED] CX_004744, S.H. Kim Dep. Ex. 2 at 3.

206. The D&D Improvement Plan contrasted SM Line's external messaging with its

[REDACTED] for D&D, which the D&D Improvement Plan stated was to

[REDACTED] CX_004744, S.H. Kim Dep. Ex. 2 at 3. (emphasis added).

207. The principal SELCON Team author of the D&D Improvement Plan, dated October 26, 2022, Mr. S.H. Kim, was promoted to team manager of SELCON in January 2023. CX_000684, S.H. Kim Dep. Tr. 31:5-13.

208. The D&D Improvement Plan was disseminated within SM Line management; K.K. Choi, the head of the U.S. office, confirmed having seen the Korean version. CX_000129-30, SM Line 143(b)(6) (Session I) Dep. Tr. 101:18-102:1.

209. Following the D&D Improvement Plan, SM Line's D&D Management Procedure was updated on November 18, 2022, increasing authority of the U.S. headquarters to discount D&D charges up to [REDACTED] per bill of lading (up from [REDACTED] and increasing the threshold requiring CEO approval for discount requests to [REDACTED] from [REDACTED] and consistent with the D&D Improvement Plan, no other material changes to SM Line's D&D work method were changed. CX_000681-82; CX_000684, S.H. Kim Dep. Tr. 28:11-29:5; 31:2-4; CX_000684-85, S.H. Kim Dep. Tr. 31:18-32:4; CX_000129-30, SM Line 143(b)(6) (Session I) Dep. Tr. 101:22-102:1.

210. [REDACTED]

[REDACTED] CX_005620, SM Line_0180243.

211. SM Line's form invoices state [REDACTED]

[REDACTED] CX_005574, SM Line_0022480.

VIII. BILLING AND INVOICING PRACTICES

A. SM Line's Poor Management of Data Errors in D&D Invoicing Questions the Reliability of its Practices In Violation of the Shipping Act

212. SM Line's internal data management operating system, used for the automatic calculation of charges, is called the ALPS system. CX_000777-78, Oh Dep. Tr. 64:21- 65:11; CX_001003-04, Lee Dep. Tr. 139:17-140:5.

213. The ALPS system contains multiple modules, each of which addresses a different aspect of the container business. CX_000777-78, Oh Dep. Tr. 64:21- 65:11; CX_001003-04, Lee Dep. Tr. 139:17-140:5; CX_000230-31, SM Line 143(b)(6) (Session II) Dep. Tr. 181:8-182:3; CX_001867-68, Yi Dep. Tr. 49:10-50:4.

214. The ALPS system generates company invoices, including D&D invoices, and tracks the movement histories of containers. CX_001003-04, Lee Dep. Tr. 139:17-140:5; CX_001531-32; CX_001532-33; CX_001532-33, Ma Dep. Tr. 21:10-22:6; 22:23-23:2.

215. The ALPS system is programmed to detect when containers have been returned. CX_001529-30, Ma Dep. Tr. 19:10-20:2.

216. Ms. Yeon Hui Yi is Senior Manager in SM Line's U.S. office. CX_001882-83, Oh Dep. Tr. 64:21- 65:11.

217. Ms. Yi performs troubleshooting issues in the ALPS system when SM Line employees in the U.S. office encounter errors. CX_001887-88, Yi Dep. Tr. 69:21-70:19.

218. SM Line employees frequently contacted Ms. Yi regarding errors in the system and having to resolve the issues. CX_000792-93, Oh Dep. Tr. 79:13-21; 79:22-80:5. Ms. Yi directly

performed “troubleshooting of the ALPS system when employees in the U.S. office encounter errors.” CX_001896, Yi Dep. Tr. 78:2-25.

219. Larger system errors in the ALPS system, requiring assistance in the U.S., are submitted to SM Line HQ. CX_001895-96, Yi Dep. Tr. 77:23-78:25.

B. SM Line’s Hybrid Human/Automatic System for D&D Charging

220. The head of the SM Line office in Arizona, K.K. Choi, was not familiar with the detailed work process for preparing demurrage invoices, but understood that initially, the person who works on an invoice will send a reminder for the last free day to the customer, before the customer picks up the cargo. CX_000405-06, K.K. Choi Dep. Tr. 52:17-53:5. The demurrage invoice is issued when the cargo is picked up. CX_000408, K.K. Choi Dep. Tr. 55:3-8.

221. Billing and collection of D&D at SM Line occurred initially at the field level, in the Arizona office. CX_000602; CX_000630-31, Jung Dep. Tr. 36:3-14; 64:25-65:6.

222. SM Line had an inbound demurrage customer service team led by Joan Gaston. CX_000400, K.K. Choi Dep. Tr. 47:8-13.

223. The inbound demurrage customer service team created invoices when demurrage occurred and zealously collected those invoices. CX_000401-02, K.K. Choi Dep. Tr. 48:20-49:4.

224. Detention invoices are generated *automatically* and sent out via the ALPS system a day after the empty container has been returned without any human verification or oversight as to the accuracy of the amounts or responsible party. CX_001529-30; CX_001543; CX_001572, Ma. Dep. Tr. 19:10-20:2; 33:1-15; 62:3-22.

225. SM Line’s system would automatically calculate detention based on customers service contract, tariff terms and if a stop clock has been applied. CX_001157-58, Solarez Dep. Tr. 88:22-89:23.

226. Invoices are not monitored for free time “because it’s all done through the ALPS system.” CX_001541, Ma Dep. Tr. 31:19-21.

227. SM Line invoices did not include the mandatory minimum information required by OSRA. CX_004862, Ma Dep. Ex. 6; CX_005597, SEA_SMLINE_0020955; CX_005598, SEA_SMLINE_0020957; CX_005599, SEA_SMLINE_0020960; CX_005600, SEA_SMLINE_0021148; CX_005595, SEA_SMLINE_0006648; CX_005596, SEA_SMLINE_0019862.

228. SM Line detention invoices that were sent out did not contain any information on how to dispute the invoice. CX_001589, Ma Dep. Tr. 79:5-8.

229. When SM Line received payments for detention, SM Line employees would interface with the ALPS system to mark the payment as collected. CX_001576, Ma Dep. Tr. 66:1-10.

230. The ALPS system kept records of the amount of detention that had been invoiced and collected. CX_001574, Ma Dep. Tr. 64:18-25.

231. SM Line employees did not maintain system data on special discounting and billing particularities before issuing invoices. CX_001390, Askins Dep. Tr. 95:21-25; CX_001529-30, Ma Dep. Tr. 19:10-20:2.

232. SM Line employees had different understandings of the proper parties to charge. CX_001569-71, Ma Dep. Tr. 59:13-61:16; CX_001397-99, Askins Dep. Tr. 102:2-104:4; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6.

233. For example, while Mr. Chian Ma, an operations manager overseeing detention billing and collections in the Arizona office, understood that there was no relationship between detention and a tariff, Ms. Askins, another former SM Line employee who handled D&D disputes,

understood that the tariff would apply if the contract did not specify otherwise. CX_001569-71, Ma Dep. Tr. 59:13-61:16; CX_001397-99, Askins Dep. Tr. 102:2-104:4; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6.

C. SM Line Lacked a Meaningful Dispute Resolution Process, Violating Both the Shipping Act and OSRA

234. Like all ocean carriers, SM Line has the discretion to waive D&D charges. CX_004298, Lee A. Clair Expert Report dated Feb. 21, 2024 (“Clair Report”), ¶ 24; CX_001608, Ma Dep. Tr. 98:2-24; CX_001706-07; CX_001792-93, Gaston Dep. Tr. 53:21-54:3; 139:25-140:18; CX_001097-98, Solarez Dep. Tr. 28:24-29:20.

235. SM Line chose not to waive the D&D charges assessed against and paid by SEA. CX_001714-15, Gaston Dep. Tr. 61:20-62:6; CX_001124-25, Solarez Dep. Tr. 55:7-56:25.

236. SM Line did not have a written dispute resolution policy as oversight for D&D charges. CX_001582-88, Ma Dep. Tr. 72:7-78:14; CX_001335-37, Askins Dep. Tr. 40:6-42:1; CX_001154, Solarez Dep. Tr. 85:4-16. Instead, SM Line would provide hands on training through on a case-by-case basis. CX_001154, Solarez Dep. Tr. 85:4-16.

237. Invoices do not have any information about how to dispute an invoice. CX_001589, Ma Dep. Tr. 79:5-8.

238. D&D disputes are reviewed by separate departments. CX_001097; CX_001098-99; CX_001153, Solarez Dep. Tr. 28:20-24; 29:25-30:20; 84:4-15; CX_001704-05, Gaston Dep. Tr. 51:21-52:18.

239. To initiate a dispute, a customer or trucker was forced to send an email to the detention group at detgrpnj@smlines.com or the demurrage group at phximport@smlines.com. https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en; CX_001582; CX_001583, Ma Dep. Tr. 72:7-25; 73:9-11; CX_001694; CX_001699, Gatson Dep. Tr. 41:8-21; 46:8-20.

240. The disputing party would have the burden of supporting its dispute rather than the issuer having information in support of the charge as saved, when issued. CX_001335-37, Askins Dep. Tr. 40:6-42:1; CX_001582-83, Ma Dep. Tr. 72:7-73:11; CX_001096-97, Solarez Dep. Tr. 27:5-28:17.

241. SM Line's investigation into a dispute involved reviewing EDI data and then presenting its findings to management and making a recommendation. CX_001335-37, Askins Dep. Tr. 40:6-42:1.

242. Unless a customer sent in a dispute, charges would not be discounted or cancelled (or "inactivated" in SM Line parlance). CX_001158, Solarez Dep. Tr. 89:8-23; CX_001582, Ma Dep. Tr. 72:15-18.

243. Despite the lack of a written method for customers to dispute charges, at least one SM Line employee recalls receiving disputed invoices from customers sometimes daily. CX_001589-90, Ma Dep. Tr. 79:9-80:1.

244. If the dispute is determined to be valid, the dispute is escalated to the head of the regional office to approve inactivation of the charge. CX_001590-91, Ma Dep. Tr. 80:2-81:13.

245. According to another employee, the customer would have to appeal the rejection of the first dispute for it to be escalated to the head of the team with an appeal heard by the same person who first rejected the now disputed invoice. CX_001152-53, Solarez Dep. Tr. 83:8-84:15; CX_001594-95, Ma. Dep. Tr. 84:22-85:23.

246. After K.K. Choi, the head of the U.S. office, reviewed a dispute it would be sent to SELCON Korea HQ for review as well. CX_001112, Solarez Dep. Tr. 43:1-5.

247. For demurrage disputes, after the head of the import team reviewed the dispute, they would have to be submitted to upper management in Korea for approval. CX_001098, Solarez Dep. Tr. 29:21-24.

D. SM Line's Collections Internally and Implementing Guarantee Letter Requirements to Extract Payment of D&D Charges Or Face Punitive Cargo Hold

248. If a customer did not pay a D&D charge by the due date on the invoice, it was considered late and thirty days after the due date, the charge would be escalated to SM Line's manager of finance and human resources at SM Line, Sarah Lee. CX_000884; CX_000885; CX_000888-89, Lee Dep. Tr. 20:20-25; 21:3-11; 24:22-25:19.

249. The escalation would occur regardless of the amount owed or the status of the customer. CX_000888-89, Lee Dep. Tr. 24:22-25:19.

250. The SM Line AR team is responsible for collecting D&D charges, with SM Line considering D&D charges as revenue. CX_000887-88; CX_000890, Lee Dep. Tr. 23:24-24:18; 26:1-4.

251. In connection with collection, the terminal charges demurrage in the first instance and the customer pays the charges directly to the terminal, with a portion of the payment being sent to SM Line a month later. CX_000899, Lee Dep. Tr. 35:8-18.

252. SM Line operated a credit business as part of its collections operation, which Sarah Lee oversaw. This business included granting credits and setting credit rating criteria. CX_000890-91, Lee Dep. Tr. 26:5-14; 26:25-27:10.

253. SM Line's Korean Headquarters made decisions about SEA's credit worthiness. CX_000891, Lee Dep. Tr. 27:2-21.

254. SM Line required SEA to guarantee D&D charges *before* it would allow cargo to be released. CX_001765; CX_001766; CX_001771-72, Gaston Dep. Tr. 112:13-21; 113:3-11; 118:20-119:7.

255. Charges had to be guaranteed through the exact date the trucker would pick up the container, **otherwise the cargo would be held until the additional charges were guaranteed.** CX_001765; CX_001766, Gaston Dep. Tr. 112:13-21; 113:3-11.

256. For example, on September 3, 2021, a trucker was concerned that delays at the terminal due to appointment availability and congestion would result in additional demurrage charges. The trucker requested that SM Line guarantee the charges, which SM Line refused to do and passed on to SEA to guarantee. CX_004844-45, Solarez Dep. Ex. 28 at 1-2 [REDACTED]

[REDACTED]

[REDACTED]

257. SM Line demanded a “guarantee letter” from SEA that SEA would pay demurrage charges within three days after a container left port/was released. CX_001771-72, Gaston Dep. Tr. 118:20-119:7.

258. If SEA did not agree to guarantee demurrage charges for cargo on a door move that was handled by a CNT, SM Line sought SEA’s confirmation the door move would be switched to a CY move. CX_001256-57, Solarez Dep. Tr. 187:16-188:7.

259. SEA issued a blanket approval for D&D charges to keep their goods moving. CX_002435, SEA 143(b)(6) Dep. Tr. 188:8-22; CX_002651, Rapske Dep. Tr. 39:2-23.

260. The blanket approval was necessary since SEA’s regular approval structure was not able to handle the amount of pandemic-related surge of charges and there was no practical manner

in which to challenge without cargo being held, because the steamship lines would ask SEA to pay first and then it could demand a refund. CX_002651; CX_002682-83, Rapske Dep. Tr. 39:2-23; 70:6-71:9.

261. SEA's contacts at SM Line for invoice issues did not have the authority to override any decisions or invoices, and SEA had to pay the charges in order to keep the containers moving. CX_002692-93, Rapske Dep. Tr. 80:23-81:14.

E. SM Line's Admissions Against Interests in its SM Line D&D Responsibility Report as to its D&D Charging and Collections

262. Following receipt of SEA's Complaint in this matter, on April 27, 2023 SM Line performed an extensive analysis of the D&D charges invoiced to SEA ("SM Line D&D Responsibility Report").

263. At the request of K.K. Choi (V.P. and U.S. Managing Director) and Woo-Cheol Shin (Korea HQ, Head of Legal & Claims), the SM Line D&D Responsibility Report was created by Sung-Hoon Lee, a SM Line IT employee. The SM Line D&D Responsibility Report was presented to Mr. Shin, SM Line's Head of Legal & Claims in Korea, when it was completed. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7; CX_000309; CX_000312-15, SM Line 143(b)(6) (Session III) Dep. Tr. 252:19-24; 255:24-258:1; CX_005601-03, Decl. of K.K. Choi dated Jan. 31, 2024 (Dkt. No. 64); CX_005604-06, Decl. of Woo Cheol Shin dated Jan. 31, 2024 (Dkt. No. 65); CX_005607-08, Decl. of Wook Chung dated Jan. 31, 2024 (Dkt. No. 63).

264. The analysis in the SM Line D&D Responsibility Report included identifying the reasons for the charges and which party bore responsibility for any charges that accrued. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7; *see also* CX_000309-10; CX_000317-18, SM Line 143(b)(6) (Session III) Dep. Tr. 252:19-253:16; 260:7-261:3.

265. The data used in the SM Line D&D Responsibility Report included not only a breakdown of the charges, but also the backup documentation supporting the determination of the underlying cause of the charges, such as emails. *See* CX_000308-10; CX_000314-15; CX_000315-25, SM Line 143(b)(6) (Session III) Dep. Tr. 251:24-253:16; 257:21-258:1; 258:19-268:19.

266. The SM Line D&D Responsibility Report, which identifies detention as “DTIC” and demurrage as “DMIF,” summarizes not only the underlying cause of the charges (such as port congestion and chassis shortage), but also amounts collected versus outstanding and type of move (CY, CNT, or house trucker)². CX_000326-31, SM Line 143(b)(6) (Session III) Dep. Tr. 269:20-274:14.

267. Column BK and BH reference whether the charges accrued due to port congestion, but that is just Mr. Choi’s “guess, but I think this is from the trucker emails. I think it just described what was indicated, just writing down what was indicated in the trucker emails. The port congestion, I think the trucker emails suggested that they couldn’t pick up the containers because the port’s congestion.” CX_000322, SM Line 143(b)(6) (Session III) Dep. Tr. 265:12-23.

268. The SM Line D&D Responsibility Report identified purported evidence related to 62% of the listed charges; 38% of the charges had no associated evidence. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

269. For 63% of the demurrage charges, the remarks simply stated “No Reply” as evidence. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

²For CY moves, SEA incurred D&D and rail storage charges during and as a result of the transition from store door moves to CY moves and as a result of needing to build infrastructure to handle the CY moves. CX_004469-70, Smith Report ¶ 48; CX_004202-05, Smith Dep. Tr. 80:5-83:23.

270. In the SM Line D&D Responsibility Report SM Line identifies a minimum of \$2.6 million in D&D charges that are SM Line’s responsibility. A total of \$3,310 in D&D charges are identified as a “Samsung Operation Issue” and \$4,405 are identified as “Warehouse Issues”, a total of \$7,715 in D&D charges identified as SEA’s responsibility. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

IX. SM LINE’S D&D PRACTICES WERE UNTETHERED FROM THE SHIPPING ACT AND THE INCENTIVE PRINCIPLE

271. As an example of SM Line’s practices, SEA cargo moving under store door terms under B/L No. SEL1G1584603 arrived at the Port of Seattle in June of 2021. CX_004513, SM Line 143(b)(6) (Session I) Dep. Ex. 2.

272. SM Line issued an arrival notice for the cargo with a notation that the cargo was a “DOOR” move. CX_004514, SM Line 143(b)(6) (Session I) Dep. Ex. 3 at 1. On June 21, 2021, SM Line issued a “Transportation Work Order” (“Work Order”) to the trucker Spirit Transportation System (“Spirit”). CX_004516-17, SM Line 143(b)(6) (Session I) Dep. Ex. 4.

273. On June 25, 2021, Spirit emailed SM Line that they were having issues picking up cargo (including Container No. CAIU4347330) from the port due to stacked containers and chassis shortages. CX_004520-30, SM Line 143(b)(6) (Session I) Dep. Ex. 6.

274. It was SM Line’s responsibility to provide chassis and ensure containers were available for pick up. CX_000097-98, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:6; CX_004520-30, SM Line 143(b)(6) (Session I) Dep. Ex. 6.

275. SEA was assessed and paid \$5,245 in demurrage to obtain the cargo’s release, \$4,602.64 of which was SM Line demurrage and \$642.35 in Port Demurrage, for the shipment. CX_000080-81, SM Line 143(b)(6) (Session I) Dep. Tr. 52:3-53:21; CX_004518-19, SM Line 143(b)(6) (Session I) Dep. Ex. 5; CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7; *see*

e.g., CX_005587-88, SM Line_0111320; CX_005589-90, SM Line_0111329; CX_005591-92, SM Line_0111349; CX_005593-94, SM Line_0111359.

276. The charges were incurred due to chassis shortages. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

277. SM Line's D&D practices did not take into account the requirement in the FMC's May 2020 Interpretive Rule that D&D charges be levied only when they will encourage the flow or fluidity of cargo through ports and storage facilities, which was implemented as an effort to prevent ocean carrier from profiteering. CX_CX_001755, Gaston Dep. Tr. 102:13-18; CX_001170, Solarez Dep. Tr. 101:14-18.

278. Some SM Line employees, including those who issued and collected D&D invoices, did not receiving training on the Shipping Act or OSRA. CX_001416-18, Askins Dep. Tr. 121:24-123:8; CX_001560; CX_001561-63, Ma Dep. Tr. 50:1-17; 51:1-53:13 (quoting "I didn't review [the Shipping Act materials] as much as I should have."), while some senior personnel claimed awareness of and familiarity with the FMC's 2020 Interpretive Rule. CX_000474-75, K.K. Choi Dep. Tr. 121:18-122:21; CX_000807-09, Oh Dep. Tr. 94:14-96:14.

279. SM Line has not changed its policies to comply with FMC guidance since the fall of 2022. CX_001563-64, Ma Dep. Tr. 53:15-54:6.

X. DURING THE PANDEMIC, SM LINE REAPED UNPRECEDENTED LEVEL OF PROFITS STEMMING FROM D&D CHARGES AND PRACTICES

280. SEA experienced a negligible amount of D&D charges in 2019 in comparison to 2020-2022. CX_002631, Rapske Dep. Tr. 19:20-25.

281. In comparison with 19 other ocean carriers, SEA experienced a similar amount of D&D charges they used. CX_002635-36, Rapske Dep. Tr. 23:18-24:4.

282. SM Line's actual financial results during the Relevant Time Period, when compared with overall industry results, show that SM Line outperformed the overall industry during that time period. CX_004344, McCown Report ¶ 49.

283. SM Line's performance in 2021 was very noteworthy. Its net income that year rivaled other ocean carriers while in 2019, pre-pandemic, SML performed worse than the industry. CX_004344-45; CX_004346, McCown Report ¶¶ 50 (Table 1), 52.

Table 1 - (in USD millions)

	2019	2020	2021	2022	2022 v 2019
SM Line:					
Revenue	\$742	\$725	\$1,680	\$1,682	126.8%
Net Income	-\$24	\$83	\$933	\$816	3509.1%
% Margin	-3.2%	11.5%	55.5%	48.5%	1603.3%
Total Industry:					
Revenue	\$181,296	\$205,919	\$403,104	\$509,450	181.0%
Net Income	\$839	\$16,471	\$148,278	\$211,712	25133.8%
% Margin	0.5%	8.0%	36.8%	41.6%	8879.9%
SM Line/Industry %:					
Revenue	0.4%	0.4%	0.4%	0.3%	-19.3%
Net Income	-2.9%	0.5%	0.6%	0.4%	113.5%
% Margin	-697.3%	143.6%	151.0%	116.7%	116.7%
SM Line v Industry Margin	Worse	Better	Better	Better	
% Margin Diff	-3.7%	3.5%	18.8%	7.0%	288.4%
KRW/USD FX	1,165.65	1,180.05	1,144.42	1,291.95	

284. SM Line's income from D&D relative to its overall revenue significantly and disproportionately outperformed the top 9 ocean carriers (which represent 75.5% of the total container shipping industry revenue between 2020 and 2022). CX_004348, McCown Report ¶ 55.

285. The scope of SM Line's collections practices were particularly noteworthy, SM Line's D&D collections as a percent of revenue substantially higher than the industry average as measured by the FMC data on the top nine carriers. CX_004349, McCown Report ¶ 56. The data is set forth in the table below. CX_004348, McCown Report ¶ 55, Table 3.

Table 3 – (in USD millions)

	2020	2021	2022	2022 v 2020
FMC Top 9 OCs:				
Revenue	\$159,040	\$303,401	\$385,210	142.2%
D&D	\$1,355	\$4,294	\$6,241	360.6%
% D&D	0.85%	1.42%	1.62%	90.2%
SM Line:				

Revenue	\$725	\$1,680	\$1,682	131.9%
D&D	\$15	\$41	\$71	372.4%
% D&D	2.07%	2.44%	4.22%	103.7%
FMC Top 9/SML %:				
Revenue	21929.8	18064.5	22900.4	4.4%
	%	%		
D&D	9022.4%	10471.3	8796.6%	-2.5%
	%	%		
% D&D	41.1%	58.0%	38.4%	-6.6%
FMC Top 9 v SML	Worse	Worse	Worse	
% D&D Diff	-1.22%	-1.03%	-2.60%	113.1%

286. As confirmed by the FMC, the data on the top 9 ocean carriers collected by the FMC is worldwide, not for the U.S. trade only. CX_005613, Email Communication between Holland & Knight and the Federal Maritime Commission dated Mar. 5, 2024.

287. The SM Line D&D practices unnaturally buoyed SM Line’s entire business perspective, “when accounting for all other major factors which would impact significant revenue growth.” CX_004354, McCown Report ¶ 66.

XI. LIABILITY-RELATED EXPERT INDUSTRY EXPERIENCE IS UNEQUAL

A. The Shipowning Expertise of SEA’s Expert McCown is Extensive

288. SEA’s liability expert, Mr. John McCown, has over four decades of operating and investment experience in the container shipping industry and holds marine-related patents associated with cargo handling and vessel propulsion. CX_004328, McCown Report ¶ 2.

289. His shipping expertise began with U.S. Lines, one of the largest container shipping companies in the world. CX_004328-29, McCown Report ¶ 4.

290. In the 1990s, he co-founded Trailer Bridge, a U.S. flagged container carrier operating seven vessels and offering a completed customer integrated service. CX_0044328-29, McCown Report ¶ 4. This included door to door service by contacting with railroads for inland carriage. CX_004328-29, McCown Report ¶¶ 4-5.

291. From a financial perspective, Mr. McCown managed a significant portfolio of container shipping focused assets, \$20 billion in total, at Paulson & Co, which necessarily required a continued laser focus on containerized shipping business practices and services in the industry. CX_004328-29, McCown Report ¶¶ 4-5.

292. 292. His monthly publication analyzing U.S. container shipping by way of volumes and quarterly analysis of financial performance based on financial disclosures to the public are widely viewed and respected in the industry. CX_004331, McCown Report ¶ 10.

293. 293. Mr. Malcolm McLean, the inventor of containerized shipping, trusted Mr. McCown so much, after decades working together with business interests for U.S. Lines and Trailer Bridge, that he named Mr. McCown as the executor of his will. CX_004366, McCown Report Appendix 1, at 40.

294. 294. In regard to industry views on D&D charges, historically, pre-pandemic, SM Line followed industry standard practices for store-door terms on SEA shipments in that it had responsibility for not only the inland move of goods but also any D&D and other accessorial charges, except in very limited consignee-controlled circumstances. CX_004333-34, McCown Report ¶ 20.

295. 295. Notwithstanding its historical practice, Mr. McCown observed that beginning in late 2020, SM Line's practice changed and it started charging D&D and other

accessorial charges to SEA in increasingly large amounts despite the bills of lading terms still being door-based. CX_004334, McCown Report ¶ 21.

296. 296. From a shipowner's perspective, where store door terms are marketed and freight collected, the situations where any consignee of cargo is responsible for D&D should be "extremely rare." CX_004334, McCown Report ¶ 21.

297. 297. The reasons it should be rare is that the very basis of container shipping is that the carrier charges the shipper for, and is fully responsible for, the logistical steps and processes until said cargo is delivered as directed in the through bill of lading. CX_004335, McCown Report ¶ 25.

298. 298. The reason why SM Line's D&D charging and collection practices radically changed was in order to avoid absorbing the costs for inland transportation and instead reduce its own costs and increase its revenue. CX_004335, McCown Report ¶ 26.

299. 299. Based on his decades of experience in the container shipping industry, Mr. McCown stated that historically free days were built into the rates and per diem charged beyond the free days was based on the "cost of the equipment and on a multiplier of the approximate daily cost of the equipment." Further, "within the industry, D&D charges were not exorbitant, and tariffs were set so that in the event that a carrier imposed an additional charge for using equipment more days than expected, the direct ownership cost of that equipment was covered." CX_004337, McCown Report ¶ 32.

300. 300. SM Line's D&D charges, in contrast, were not tied to the cost of equipment, as was the historical mandate and FMC expectation. CX_004355, McCown Report ¶ 67.

301. There were no opportunity costs for SM Line to justify D&D charges. This was made plain by considering the SM Line ships, like the industry, was running at full capacity from

Asia to the U.S., and as such even if additional pieces of equipment would have secured another load, there was no space on any SM Line ship for that load. CX_004357-58, McCown Report ¶ 75; CX_004495, SEA Expert Rebuttal Report of John McCown to the Expert Report of SM Line’s Liability Expert Lee Clair, dated March 1, 2024 (“McCown Rebuttal”) ¶ 17.

B. The Shipping Industry Expertise of SM Line’s Clair is Limited

302. SM Line’s liability expert, Mr. Lee A. Clair, provided both an affirmative expert report and rebuttal to Mr. McCown’s expert report. CX_004291, Clair Report, Cover Page; CX_004478, Lee A. Clair Rebuttal of John D. McCown Expert Report dated Feb. 29, 2024 (“Clair Rebuttal Report”), Cover Page.

303. Mr. Clair was retained by SM Line as an expert less than two (2) months before issuing his expert report. CX_003345, Clair Dep. Tr. (Vol. 1) 15:9-22.

304. His expert report and rebuttal report were researched and drafted by his project manager and he reviewed their work. CX_003350-51, Clair Dep. Tr. (Vol. 1) 20:9-21:17.

305. Mr. Clair had no recollection of any conversations taking place with SM Line individuals that were listed in his “Key Documents Referenced” (Appendix B). CX_003347-48; CX_003349-50, Clair Dep. Tr. (Vol. 1) 17:25-18:17; 19:18-20:4; CX_004324-25, Clair Report, Appendix B.

306. To rebut Mr. McCown’s expert report, Mr. Clair’s first focus was attempting to attack Mr. McCown’s knowledge of the shipping industry by calling it “out of date” and “irrelevant to this dispute.” CX_004480-81, Clair Rebuttal Report ¶¶ 1-8.

307. Mr. Clair’s experience, other than his rail background having worked at Union Pacific, has focused on providing general consulting work in the supply chain. CX_004321-23, Clair Report, Appendix A; CX_003390-93, Clair Dep. Tr. (Vol. 1) 60:10-63:17.

308. Mr. Clair has never worked at a ship-owning company and has minimal experience working directly with ocean carriers. CX_004321-23, Clair Report, Appendix A.

309. Mr. Clair has no experience working with ocean carriers on D&D policies or compliance with the Shipping Act. CX_003367-69, Clair Dep. Tr. (Vol. 1) 37:16-39:9.

310. Mr. Clair's only experience with D&D is with less than truckload motor carriers and rail, but none have involved drayage companies. CX_003369-72; CX_003377, Clair Dep. Tr. (Vol. 1) 39:17-42:23; 47:2-11.

311. Mr. Clair's experience was primarily related to waiver of outstanding demurrage in exchange for a new contract. CX_003385-86, Clair Dep. Tr. (Vol. 1) 55:7-56:8.

312. Mr. Clair has never published anything on ocean carriers or the ocean carrier industry because "two things drove what [he writes] articles on, and one of them is where are the areas in the industry of the greatest amount of change and pain points and opportunities which are the subjects to which clients are likely to want to be hiring someone for,...; and the second is, where are the clients located and who do I want to have as clients." CX_003391-92; CX_003393, Clair Dep. Tr. (Vol. 1) 61:18-62:3; 63:22-25.

313. Mr. Clair does not follow updates from the FMC and is only familiar with the World Shipping Council at a very general level. CX_003399-3400, Clair Dep. Tr. (Vol. 1) 69:8-70:2; 70:10-22.

314. Mr. Clair has extremely limited experience related to CNTs; his only experience is acting as an expert in one prior FMC case where CNTs were mentioned (*Samsung Electronics America, Inc. v. Zim Integrated Shipping Services Ltd.*, FMC Dkt. No. 22-30) (the "SEA/Zim matter") and one matter he consulted on but could not testify whether he even reviewed the terms

of the alleged CNT model that he said had been proposed and not adopted. CX_003422-27; CX_003427; CX_3434-36, Clair Dep. Tr. (Vol. 1) 92:15-97:15; 97:16-25; 104:20-106:7.

315. Mr. Clair thought the trucker in a CNT model would issue a bill of lading to the beneficial cargo owner and worked at the direction of the beneficial cargo owner. CX_003532, Clair Dep. Tr. (Vol. 1) 202:19-25.

316. Mr. Clair asserts that SM Line is minimally involved with the railroads since SEA contracts with them and the *railroad* is responsible for providing SEA chassis. CX_003651-52, Clair Dep. Tr. (Vol. 2) 279:4-280:16; CX_004296, Clair Report ¶ 16; CX_004495, McCown Rebuttal ¶¶ 19-20.

317. This assertion is based on Mr. Clair's understanding that many railroads own or lease chassis which are used for domestic (not intermodal) moves. CX_003651-53, Clair Dep. Tr. (Vol. 2) 279:4-281:20; CX_004296, Clair Report ¶ 16; CX_004495, McCown Rebuttal ¶¶ 19-20.

318. Mr. Clair is not a lawyer, but purports to be an expert with respect to the commercial terms of contracts, but not "the legal parameters and structures and any of that." CX_003414; CX_003416, Clair Dep. Tr. (Vol. 1) 84:4-12; 86:6-18.

319. Mr. Clair is familiar with the FMC's Interpretive Rule "from a practitioner's standpoint." CX_003647-48, Clair Dep. Tr. (Vol. 2) 275:16-276:12.

320. His understanding of the Rule is that D&D should not be collected if a beneficial cargo owner "cannot influence movement of the container." CX_003647-48, Clair Dep. Tr. (Vol. 2) 275:16-276:12.

321. Mr. Clair acknowledged that terminal congestion and closures and unavailability of chassis would be included in circumstances when D&D should not be charged. CX_004315,

Clair Report ¶ 104; CX_003618-19; CX_003648-49, Clair Dep. Tr. (Vol. 2) 246:20-247:11; 276:17-277:2.

322. Mr. Clair could not provide an expert opinion on whether SM Line’s D&D charges were reasonable under the FMC’s Incentive Principle for any charges that “he had no visibility” over (any charge SM Line did not collect itself). CX_003654-55, Clair Dep. Tr. (Vol. 2) 282:19-283:4.

323. For charges where he did “have visibility,” Mr. Clair similarly could not provide an opinion on whether the D&D charges were reasonable under the FMC’s Incentive Principle since he did not have enough information. CX_003620; CX_003621; CX_003632; CX_003655, Clair Dep. Tr. (Vol. 2) 248:3-16; 249:3-9; 260:7-22; 283:5-23.

324. Mr. Clair did not ask for additional information from SM Line regarding its D&D charges so as to be able to determine whether, in his opinion, they were reasonable. CX_003620, Clair Dep. Tr. (Vol. 2) 248:3-16.

325. Mr. Clair did not have the necessary data to perform a container by container analysis, since he would need “all the communications that tie to each container to know exactly why it was demurrage, why it was detention, when it went in, why it stayed in, and all of the communications and all the reasons that went with it.” CX_003632, Clair Dep. Tr. (Vol. 2) 260:7-22.

XII. THE SCOPE AND DEPTH OF EXPERT DAMAGES WORK ALSO DIVERGES

A. SEA’s Expert’s Thorough Validation of SEA’s D&D Charges

326. SEA engaged Mr. Gregory E. Smith with Berkeley Research Group in the summer of 2023 to analyze the charges assessed by SM Line to SEA. CX_004446; CX_004448; CX_004457, Smith Report ¶¶ 3, 8, 25; CX_004134, Smith Dep. Tr. 12:11-17.

327. Mr. Smith assumed SM Line is liable for the damages, as is the standard practice for a damages expert. CX_004448, Smith Report ¶ 8; CX_003792; CX_003793-34, Gauthier Dep. Tr. 123:7-13; 124:23-125:6.

328. Mr. Smith drafted a damages report detailing the amount of damages SEA suffered due to SM Line's actions by analyzing the economic impact of the harmful event and then calculating the difference between SEA's actual economic position and what it would have been if the harmful act had not occurred. *See* CX_004457, Smith Report ¶ 25.

329. Mr. Smith concluded that SEA has incurred direct damages of at least \$14.5 million for inland transportation payments incurred in connection with SM Line shipments. CX_004448, Smith Report ¶ 8.

330. Further, SEA incurred additional damages including, but not limited to: wages paid to employees hired specifically to process inbound containers and inland transportation charges; temporary staff hired for the same purpose; lease expenses for off-dock facilities utilized to handle overflow containers; and lost revenue due to products not delivered and available for sale at least totaling \$2.6 million. CX_004448-49, Smith Report ¶ 9.

331. Mr. Smith investigated the source and accuracy of data provided by SEA, including, (a) determining the process by which SEA stored (and later gathered) the raw data on its damages claims; (b) spending time with SEA personnel reviewing the documentation supporting the claims for the purpose of understanding the information stored in SEA's document; (c) spot-checking the documentary support for SEA's claims to ensure that documentary evidence existed and supported the figures SEA presented as its damages claim. CX_004447-48, Smith Report ¶¶ 6-7; 37-38; 50; CX_004161-62, Smith Dep. Tr. 39:22-40:4.

332. This information included, but was not limited to, invoices, waybills, and electronic payment files. CX_004465-66, Smith Report ¶¶ 37-38; *see also* CX_004161-62, Smith Dep. Tr. 39:22-40:4.

333. Mr. Smith's review included SM Line's D&D policies. CX_004470-72, Smith Report ¶¶ 49-53.

334. SEA's damages, shown in Exhibit No. 1 to the Smith Report, were extracted from SEA's SAP system, and include all charges on SM Line shipments recorded by SEA to its SAP system from January 1, 2020 to December 31, 2022. CX_004464, Smith Report ¶¶ 35-36 & n. 67; *see also* CX_004161, Smith Dep. Tr. 39:2-22.

335. SEA employs a "Barracuda" data storage system that stores decades of data and automatically and routinely captures information from individual workstations. CX_002454, SEA 143(b)(6) Dep. Tr. 207:3-15.

336. The SAP system is an enterprise resource planning software system ("ERP") that provides businesses with capabilities to manage business processes such as accounting, and logistics. CX_004465-66, Smith Report ¶ 37, n. 69.

337. SAP SE is a market leader in offering ERP systems and accepted through industries as a business-accepted practice. CX_004466, Smith Report ¶ 38.

338. In order to complete his assessment of the damages suffered by SEA in a industry-accepted manner, Mr. Smith reviewed supporting information for a number of container claims to assess the accuracy of the information in SEA's SAP system as opposed to supporting data for each and every container carried by SM Line. CX_004466; CX_004468-69, Smith Report ¶¶ 38, 42-46; CX_005439-77, Smith Report, Exs. 4-10; CX_004161-62, Smith Dep. Tr. 39:22-40:4.

339. Mr. Smith reviewed supporting information for numerous container claims which “illustrated the accuracy of the information captured in SEA’s SAP system regarding inland transportation charges.” CX_004466, Smith Report ¶ 38.

340. Mr. Smith reviewed data produced from SM Line from its own records documenting charges paid by SEA for D&D, which came from SM Line’s ALPS System. CX_004471, Smith Report ¶ 50; CX_004715, SM Line 143(b)(6) (Session III) Dep. Ex. 8.

341. Mr. Smith separated the inland transportation costs into a variety of categories as illustrated by Exhibit 1 of the Smith Report, which details every charge incurred by SEA related to SEA containers carried by SM Line from the second half of 2019 through the end of 2022. CX_005012-435, Smith Report, Ex. 1.

342. The chart in Exhibit 1 details (i) the charges paid, (ii) the container numbers, (iii) the bill of lading numbers, (iv) the nature of the charge (*e.g.*, demurrage, detention, rail storage, etc.), (v) the invoice amounts, and (vi) the dates that the invoices were posted. CX_005012-435, Smith Report, Ex. 1.

343. SEA provided to SM Line SEA’s files with respect to these charges, collectively \$14,623,541.61. CX_004464, Smith Report ¶ 35.

344. Exhibit 2 to the Smith Report provides cumulative charges for each category by quarter. CX_005437, Smith Report, Ex. 2.

345. Exhibits 1.1 and 2 to the Smith Report detail the types of damages and associated costs, including (1) demurrage; (2) rail storage; (3) equipment detention; (4) rehandling; (5) yard storage; (6) prepull; (7) chassis usage; (8) expedite; (9) diversion; (10) driver detention; (11) chassis flip; (12) chassis reposition; and (13) chassis split. CX_005436; CX_005437, Smith Report, Exs. 1.1 & 2.

346. Mr. Smith conducted quality assurance checks on the accuracy of the SEA data and confirmed that “the charge data produced by SEA provides a sound basis from which to compute direct damages in this matter.” CX_004466, Smith Report ¶ 38; CX_004161-62, Smith Dep. Tr. 39:22-40:4.

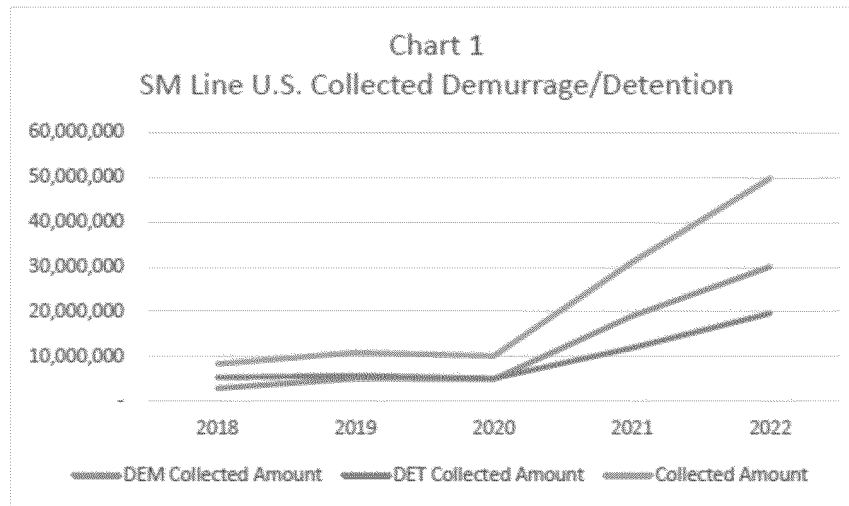
347. The collective amount, \$14,623,541.61, excluded charges prior to April 20, 2020, rendering SEA’s direct damages claim to at least \$14.5 million, CX_004464, Smith Report, n. 67, to which SEA has calculated the exact amount to be \$14,534,787.00, with the supporting calculations in the initial brief. Brief at 68 n.22.

348. Mr. Smith’s finding that SEA “incurred and paid approximately at least \$14.5 million for ‘inland transportation’ charges in connection with SM Line shipments” was not a typographical error as suggested in the report by SM Line’s damages expert, *see* CX_004377, Expert Damages Report dated Mar. 1, 2024 Prepared by Mark E. Gauthier (“Gauthier Report”), ¶ 2, n. 1, as recognized during deposition testimony of SM Line’s damages expert, as the amount appeared consistent with the data on the record. CX_003846, Gauthier Dep. Tr. 177:13-17.

349. The Smith Report details how entities other than SM Line received a large share of inland transportation charges incurred by SEA. *See, e.g.*, CX_004458; CX_004467, Smith Report ¶¶ 27, 41; CX_005437, Smith Report Ex. 2.

350. SM Line’s operating profit in 2021 was 55% and in 2022 was 48% of the revenue. CX_004451, Smith Report ¶ 15, Table 1.

351. SM Line’s collection of D&D increased dramatically between 2018 and 2022. CX_004452, Smith Report ¶ 16, Chart 1; CX_004548, SM Line 143(b)(6) (Session II) Dep. Ex. 4.



352. During the pandemic, port congestion, shortage of truck drivers and truck chassis affected the movement of cargo, elevating dwell times, causing landside bottlenecks, and continued chassis shortages. CX_004455, Smith Report ¶ 22.

353. Starting in 2020, “SM Line stopped managing inland transportation charges itself (that is, SM Line stopped first paying inland transportation charges itself and, if warranted for some cause of the consignee, then billing the consignee after containers were delivered) and started requiring SEA to arrange payment for demurrage charges directly to terminals or to SM Line before SM Line would allow containers to be released for further inland movement or inland delivery by SM Line.” CX_004454, Smith Report ¶ 20.

354. During this time, SEA was compelled to pay millions of dollars in inland transportation charges on SM Line shipments. CX_005437, Smith Report, Ex. 2.

355. Under Store Door terms, ocean carriers are responsible for arranging the transportation of cargo over land, including lining up chassis, with intermodal equipment providers. CX_004461, Smith Report ¶ 32.

356. SM Line directed SEA to pay rail storage charges incurred by SM Line to the railroad before allowing trucks to pick up and move containers in the inland destinations. CX_004461, Smith Report ¶ 33.

357. SM Line directly received \$2.6 million of the total payments made on inland transportation charges. CX_004467, Smith Report ¶ 41.

358. Third parties, such as P.B. Industries, Advanced International Freight, SDSA, and Paycargo, also received large amounts of the total inland transportation charges incurred by SEA in connection with containers shipped by SM Line. CX_004467, Smith Report ¶ 41.

359. Assuming SM Line is responsible for charges related to inland transportation, “[w]hether the amounts were paid to SM Line, a container terminal, a rail carrier or another party, the amounts represent damages to SEA.” CX_004458, Smith Report ¶ 27.

360. Of the inland transportation charges paid by SEA for SM Line shipments, \$12.8 million of the total \$14.6 million were greater than \$500 (the charge waiver approval limit for the head of SM Line’s U.S. office). CX_005481-573, Smith Report, Ex. 14; CX_004470-71, Smith Report ¶ 49.

361. SEA recorded payments totaling \$1.3 million for equipment detention inland transportation charges to SM Line, port terminals and rail lines, and other parties. CX_004471, Smith Report ¶ 50; CX_005437, Smith Report, Ex. 2; CX_004715, SM Line 143(b)(6) (Session III) Dep. Ex. 8.

362. SM Line data shows it collected \$1.2 million for the same equipment detention charges over roughly the same period. CX_004471, Smith Report ¶ 50; CX_005437, Smith Report, Ex. 2; CX_004715, SM Line 143(b)(6) (Session III) Dep. Ex. 8.

363. SEA records demonstrate demurrage payments of \$7.2 million; in contrast, SM Line only recorded \$5.4 million in demurrage payments. According to Mr. Smith, this is likely explained by looking at the portion of demurrage paid to the port terminals and not received by SM Line. CX_004471, Smith Report ¶ 51.

364. To mitigate the dramatic increase of inland transportation charges, SEA incurred significant additional costs to protect its supply chain. CX_004472-73, Smith Report ¶ 54.

365. The additional costs include: (1) the additional personnel hired to handle the “dramatic increase of land transportation charges” that SEA was being assessed by ocean carriers in 2021 and 2022, and (2) the costs of leasing short term leases for the off-dock container yards that SEA used to remove containers from the port terminals so as to reduce or eliminate demurrage and/or storage charges being assessed against those containers by the port terminals, the ocean carriers, and the rail carriers. CX_004472-73; CX_004474-75, Smith Report ¶¶ 54-55, 58; CX_005478, Smith Report Ex. 11.

366. Mr. Smith estimated the portion of the additional costs attributable to SM Line by utilizing the percentage of SEA’s shipments that SM Line managed between January 2020 and December 2022, which was 4.5% or \$45,939 in costs when applying the percentage and \$1,853,758 in container leading space costs. CX_004474-75, Smith Report ¶¶ 57-58.

367. The additional costs include inland transportation costs for containers when SEA arranged for transportation services due to SM Line’s failure to fulfill this obligation, including trucking, fuel, and gating and lift charges, CX_004475, Smith Report ¶ 59; CX_005479, Smith Report Ex. 12, and these \$654,055 are direct, hard costs that Mr. Smith testified were unavoidable in order to mitigate SEA losses further. CX_004152-54, Smith Dep. Tr. 30:10-32:4.

368. SEA lost revenue due to late delivery of SEA products, which required the products to be discounted. CX_004476, Smith Report ¶ 62.

369. Mr. Smith used a conservative loss figure to reach the calculation of lost revenue damages. CX_004476, Smith Report ¶ 62; *see also* CX_005480, Smith Report, Ex. 13.

370. SEA's lost revenue claim is "measured by the difference between the originally contracted purchase price for these products and the discounted price actually realized by SEA." CX_004476, Smith Report ¶ 62. While SEA "lost \$418,840 in sales on these products," CX_004476, Smith Report ¶ 61, a reasonable estimate of these associated damages amounts to \$41,884, which accounts for an effective discount at 10% of lost noted. CX_004476, Smith Report ¶ 62.

B. SM Line Expert's Lack of Industry Expertise and Borrowed Work Product

371. SM Line's damages expert, Mr. Mark Gauthier, submitted a rebuttal report to SEA's damages expert, Greg Smith. CX_004372-443, Gauthier Report.

372. Mr. Gauthier was engaged on or about February 13, 2024 to serve as SM Line's damages expert. CX_003682, Gauthier Dep. Tr. 13:7-25.

373. Mr. Gauthier was not engaged to determine SM Line's liability. CX_003778; CX_003822; CX_003867 Gauthier Dep. Tr. 109:4-11; 153:8-10; 198:11-13.

374. He did not prepare the initial draft report, only received the Smith Report on or about February 21, 2024, and did not review the evidentiary record but reserved his right to alter his conclusions. CX_003690; CX_003780-81; CX_003913, Gauthier Dep. Tr. 21:3-5; 111:3-112:15; 244:12-21.

375. Mr. Ricardo Zayas, recently retired and the expert in the SEA/Zim matter, acted as a consultant for Mr. Gauthier's report, meeting with him multiple times during the preparation of the report. CX_003902-03; CX_003904, Gauthier Dep. Tr. 233:7-234:11; 235:3-5.

376. After testifying that his colleague Tammy Thomas had prepared the first draft of the report, Mr. Gauthier admitted this was incorrect and that instead Mr. Zayas “took the first pass... at the report.” CX_003780-81; CX_003905-06, Gauthier Dep. Tr. 111:3-112:4; 236:19-237:16.

377. Mr. Zayas’ Report in the SEA/Zim matter and Mr. Gauthier’s Report in this matter include nearly identical language. CX_003904-09, Gauthier Dep. Tr. 235:13-240:4.

378. As stated in the Limitations section of his report, the entirety of the documents Mr. Gauthier considered when writing his report were limited to the Smith Report and Exhibits thereto. CX_003796, Gauthier Dep. Tr. 127:6-21.

379. Despite receiving additional documents from SM Line, Gauthier did not consider any additional documents when creating his expert report. CX_00796-97, Gauthier Dep. Tr. 127:22-128:21.

380. Mr. Gauthier did not interview anyone at SM Line when preparing his report because he did not think it was necessary for a rebuttal, but “[he] would assume that [he] would be able to interview whomever at SM Line [he] would want to interview.” CX_003778; CX_003822; CX_003867, Gauthier Dep. Tr. 109:4-11; 153:8-10; 198:11-13.

381. In addressing particular shipping expertise in damages matters, Mr. Gauthier only recently has served as a consulting witness in a maritime matter starting in the summer of 2023. CX_003736-37, Gauthier Dep. Tr. 67:2-68:2.

382. He does not have substantive knowledge of the Shipping Act, Incentive Principle, Federal Maritime Commission, D&D, or even what a cargo hold is past that it is “the amount of time that cargo is held at a location.” CX_003742-43; CX_003744-45; CX_003745, Gauthier Dep. Tr. 73:6-74:7; 75:3-76:6; 76:9-15.

383. Mr. Gauthier struggled to address the assumption of liability in his damages work. CX_003792; CX_003793; CX_003793-94, Gauthier Dep. Tr. 123:7-25; 124:7-15; 124:23-125:6.

384. He admitted that SEA has suffered damages. CX_003868, Gauthier Dep. Tr. 199:16-23.

385. Mr. Gauthier's primary basis for challenging the Smith Report was that Mr. Smith made unreasonable assumptions, disregarded relevant facts and did not consider relevant documents, but Mr. Gauthier (1) did not review the documents Mr. Smith considered in his report and (2) could not identify relevant documents that Mr. Smith failed to consider. CX_003816; CX_003880, Gauthier Dep. Tr. 147:5-8; 211:11-18.

386. When calculating the damages related to CNTs, Mr. Gauthier assumed that appointment of a CNT "relieved SM Line of certain responsibilities that might otherwise exist within a store door arrangement." CX_004386, Gauthier Report, p. 15.

387. When drafting his report, Mr. Gauthier did not know that some truckers were both house truckers and CNTs for SM Line and SEA, respectively and admitted that this would have been important to know in drafting his report opining on choice with respect to CNTs and influenced his assessment of damages. CX_003824-25, Gauthier Dep. Tr. 155:4-156:4.

388. Mr. Gauthier was unaware that SEA had in fact at times requested to use a house trucker and SM Line had refused, insisting that the CNT be used. CX_003833, Gauthier Dep. Tr. 164:11-16.

389. He also had not read SM Line's corporate designee testimony, stating that SM Line did not have CNT agreements for 2020-2022. If he had known this, he would have considered it in developing his analysis. CX_003821-23, Gauthier Dep. Tr. 152:5-154:25.

390. Mr. Gauthier's report described increases in "Samsung Worldwide Revenue," which he admitted applies to the entire Samsung conglomerate (and not just SEA). CX_003889, Gauthier Dep. Tr. 220:4-11.

391. He admits that his inclusion of the Samsung Worldwide Revenue increase in his report was "simply drawing a correlation" to show increased revenue during the same period. CX_003889-90, Gauthier Dep. Tr. 220:12-221:4.

392. Mr. Gauthier's report does not explain why Samsung Worldwide Revenue during the relevant period would offset damages suffered by SEA due to SM Line's conduct, nor does he provide a citation or analysis demonstrating that Samsung increased its profits by 20% during the relevant period nor the causes of the alleged increase nor that it impacted SEA products. CX_004388-89, Gauthier Report, p. 17-18.

393. The Gauthier Report cites figures regarding Samsung Electronics Co., Ltd, not Samsung Electronics America, Inc. CX_004388, Gauthier Report, p. 17.

XIII. SEA'S DAMAGES AND PRAYER FOR RELIEF

394. SEA's direct damages in the nature of the inland transportation charges were excessive and should not have been passed on to SEA by SM Line under store door terms, which damages total over \$14.5 million dollars. CX_004448, Smith Report ¶ 8.

395. SEA's additional damages in the form of additional expenditures SEA had to incur because of SM Line's failure to provide store door delivery of SEA shipments and lost revenue total \$2.6 million dollars. CX_004448-49, Smith Report ¶ 9.